

IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: 21 February 2024

Start Time: 11.00 Finish Time: 16.13

Before:

MR JUSTICE MACDONALD
(Sitting in Private)

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR BRENT MOLYNEUX KC (instructed by AFP Bloom LLP) for the **Applicant**
MISS ALEXIS CAMPBELL KC and **MISS SASSA-ANN AMAOUCHE**
(instructed by Stowe Family Law) for the **Respondent**

PROCEEDINGS
IN PRIVATE

If this Transcript is to be reported or published, there is a requirement to ensure that no reporting restriction will be breached. This is particularly important in relation to any case involving a sexual offence, where the victim is guaranteed lifetime anonymity (Sexual Offences (Amendment) Act 1992), or where an order has been made in relation to a young person.

This Transcript is Crown Copyright. It may not be reproduced in whole or in part other than in accordance with relevant licence or with the express consent of the Authority. All rights are reserved.

Digital Transcription by Marten Walsh Cherer Ltd
2nd Floor, Quality House, 6-9 Quality Court, Chancery Lane, London WC2A 1HP
Tel No: 020 7067 2900. DX: 410 LDE
Email: info@martenwalshcherer.com
Web: www.martenwalshcherer.com

INDEX

Page No.

HOUSEKEEPING MATTERS

3

ZAHMOUL, Mrs NADIA, Sworn

Examined by Mr MOLYNEUX

8

Cross-examined by Miss CAMPBELL

10

A *(Transcript prepared without access to case documentation)*

MR JUSTICE MACDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Good morning, your Lordship. We are back again.

B MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: There are one or two matters of housekeeping, if I could just deal with those before we start ----

MR JUSTICE MACDONALD: Yes.

C MR MOLYNEUX: -- with Mrs Zahmoul's evidence. She will be the main event today.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Yesterday you grappled with Miss Campbell's -- in fact you dispatched Miss Campbell's application in relation to redaction of my client's witness statement, save in one respect.

D MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And that respect was at p.7, para.21, which starts with the words (inaudible). At that point you had read it, and it may well be that you have now manually redacted it. I do not know.

E MR JUSTICE MACDONALD: Have I had a revised copy thus far?

MR MOLYNEUX: I do not think you have had a revised copy unless it has been sent, and I can see ----

F MR JUSTICE MACDONALD: I have not looked at the first document, because of course the risk is I will run on to somewhere I should not be.

MR MOLYNEUX: So, my Lord, in that case, there are two things that arise. It would probably be helpful for you to have -- it will probably take 20 minutes to read the section 25 statement once it is in its final form.

G MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And its final form can be easily amended according to what you tell us now.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Yesterday, there was an issue in relation to para.21. I am not going to tell you the substance of para.21, save in very broad terms. Paragraph 21 was exhibit KZ7. It was an extract, a cut and paste. You will not have seen this. Miss Campbell perfectly reasonably said, given that it is a cut and paste from an exhibit, there is no need for it to be in there anyway. Or at least that was how I interpreted what she said, and that is why that was uncontroversial because if it is somewhere else in the bundle or

IN PRIVATE

- A** if it is in one of the other exhibits, then it is already in evidence and we do not need to add to the volume of papers by having material that has been cut and pasted. Now, it transpires that although this is labelled NZ7, although it is expressed as being a cut and paste from an exhibit ----
- B** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: -- that is not an exhibit which we can find anywhere, certainly not in any of the exhibits to any of the statements which have been produced and admitted to these proceedings.
- C** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: My client deals with within that -- I am not going to -- I am going to try and deal with this in a light touch way because I do not want to tell you what the allegations are, but I want you to understand what the thrust of her case is in this regard.
- D** It deals with an aspect that you are familiar with, because she says it elsewhere, about money laundering, and it feeds her concern. Understandably, we say, it feeds her concern that outside these proceedings there may be forfeiture proceedings which will impact upon the divisible pool. So the court needs to understand the likelihood or
- E** otherwise of the parties getting in trouble with the US authorities about activities that she says the husband and Ms Molina have been involved in in the Middle East and elsewhere.
- She deals with this by reference to a series of exchanges that she says took place
- F** between her and Mr Zahmoul, and sets that out in her statement. Of course it might be said, well, she could have dealt with that and should have dealt with that in her conduct statement, and she did to some degree because there is an element of overlap between what she says here and what she says in that statement, save that here it is fleshed out in
- G** greater detail.
She feels passionately, understandably so, that her voice should be heard, that she should not be silenced, and that you should have the opportunity to read and attach whatever weight to this paragraph that would otherwise be redacted.
- H** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: Of course she can be, and no doubt will be, vigorously cross-examined on the contents of that, and she would be of course content for that to take place. She wants that to take place because she wants to have the opportunity to set out her case. Of course she will be limited by the questions that she is asked. I ask that you read it and I ask that we then, once you have read it, proceed with a very, very short

IN PRIVATE

- A** examination-in-chief. There are three questions arising out of Mr Zahmoul's section 25 statement.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And then progress to cross-examination.
- B** MR JUSTICE MACDONALD: Thank you.
- MISS CAMPBELL: Well, my Lord, you have already ruled on this, so let us be absolutely clear. Yesterday we made submissions and Mr Molyneux may have misunderstood what was happening, and that is partly because the information was coming in so late.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You will remember that I said the wife has made a statement with a whole 100-plus pages of exhibits. One of the exhibits is a separate affidavit.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: Free-floating. We have never seen it before, is all I said, and she takes a portion of this affidavit and puts it into the body of the statement.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: My main submission was she should not be able to have affidavits
- E** within statements. You agreed, and I therefore followed by saying that excerpt, which has been provided in the body of the statement, must also come out.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You agreed, and that was the ruling made. So the first point is that you
- F** have already made a decision about this.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: As Mr Molyneux is taking his client's instructions and asking you to revisit again that decision, two things. The first is we could not find this affidavit
- G** within the affidavit. I did not know where it came from and it was only when Miss Amaouche looked at it carefully - much more carefully than I did, I confess - we saw that it was dated 14 February, so in preparation for this trial, 14 February 2024.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: But it says "statement made on 20 July 2021". My client could not recall the statement or could not recall what hearing it would have been for, and then when we checked the chronology, we realised the FDR, the private FDR, was on 20 July 2021.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So this document has evidently been produced for the private FDR. Whether it was used or not, I actually cannot say.

IN PRIVATE

- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: That is the first point - we suspect it is a private FDR document which should not be produced.
- The next point is that Mr Molyneux says his client believes passionately that there
- B** should be an opportunity for you to hear about her allegations of money laundering, and she is concerned that there may be forfeiture proceedings.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Nothing in this excerpt refers to forfeiture proceedings. All this excerpt
- C** appears to do is to copy out various dates and various statements that the applicant is recording, her view of what has been said. It is like a personal chronology or perhaps an excerpt from a diary. I cannot tell.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: So it is her recording what her view is of what has happened and been said. So it is almost impossible for me to verify where it comes from, what is the context. So it is not useful. That is the second point.
- The third point is that this, as Mr Molyneux concedes, is already covered in his conduct
- E** statement.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So those four points: first of all, you have already decided it is a
- F** privileged document, it seems to us. It is not actually reliable because I cannot test the evidence. And, finally, it appears in broad terms to be covered already in the conduct statement.
- MR JUSTICE MACDONALD: Thank you. Yes.
- MR MOLYNEUX: My Lord, can I just come back, because my learned friend cannot and
- G** should not say that it is a privileged document in circumstances in which those are not our instructions. Because Mr Zahmoul would have seen that document if it was prepared for an FDR and would be able to tell her in terms: "This is an FDR document". I mean, it is not -- it was not prepared for that purpose, it was not before
- H** any FDR tribunal, and that is a submission upon which you should not rely. Miss Campbell makes the point for me when she says that the basis of your determination yesterday was that it was thought to be elsewhere within the exhibit to the statement that my client was producing. It transpires that it was not. So then she ----
- MISS CAMPBELL: It is. I am sorry, it is. It is. It is the exhibit to your section 25 statement. (Counsel conferred).
- MR JUSTICE MACDONALD: Well, Mr Molyneux, can I short circuit this?

IN PRIVATE

- A** MR MOLYNEUX: Please.
- B** MR JUSTICE MACDONALD: Because I would like to get on with the evidence. I have already ruled yesterday that it is inappropriate for a statement to exhibit to it another statement or affidavit. I decided that that affidavit should not therefore remain in the exhibits to the statement. My understanding is that para.21 comes from that affidavit. It necessarily therefore follows that if I have excluded the affidavit, it is not appropriate for para.21 to be in the statement, and that is my decision.
- If I can be provided with an updated or, rather, redacted ----
- C** MR MOLYNEUX: We will redact that element.
- MR JUSTICE MACDONALD: -- statement, I will read it and then we will start with Mrs Zahmoul's evidence.
- MR MOLYNEUX: Thank you so much.
- D** MR JUSTICE MACDONALD: Yes, thank you.
- (Short break)
- E** MR JUSTICE MACDONALD: Yes, Mr Molyneux.
- MR MOLYNEUX: My Lord, thank you very much. Mrs Zahmoul will now give her evidence. Before she starts, ordinarily I would take the witness to each of the sworn statements or ----
- F** MR JUSTICE MACDONALD: Yes, do not worry about that.
- MR MOLYNEUX: It will take too long.
- MR JUSTICE MACDONALD: Yes. Thank you.
- MR MOLYNEUX: The other thing, just in terms of administration and housekeeping, I was
- G** going to suggest - and this is agreed, subject to your approval ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- that Ms Vorri, who is a pupil in chambers, assists with the bundles.
- MR JUSTICE MACDONALD: Yes.
- H** MR MOLYNEUX: Because I think that will make things a little bit smoother than might otherwise be the case.
- MR JUSTICE MACDONALD: I think it would, yes.
- MR MOLYNEUX: Thank you so much.
- MR JUSTICE MACDONALD: Thank you. (After a pause)
- MR MOLYNEUX: Nadia, so you cannot take notes in. Okay? So you can have a blank piece of paper or you can have a blank notebook but ----

IN PRIVATE

- A** MRS ZAHMOUL: I can take my notes?
MR MOLYNEUX: You should not be taking notes into the box, no.
MR JUSTICE MACDONALD: No. You will need to leave your notes just over there. All right? Okay?
- B** MR MOLYNEUX: But you can take paper if you want to have paper in order to write things down to help you. Just no existing notes.
MRS ZAHMOUL: Okay. So then how do I refer to page numbers?
MR MOLYNEUX: So the page numbers Ms Vorri is going to help you with.
- C** MRS ZAHMOUL: No, me. But me. Me, if I want to refer to page numbers?
MR MOLYNEUX: If you wanted to refer?
MRS ZAHMOUL: Yes.
MR MOLYNEUX: Well, you will be asked questions. My Lord, forgive me.
- D**
- Mrs NADIA ZAHMOUL, Sworn
Examined by Mr MOLYNEUX
- E** MR JUSTICE MACDONALD: Thank you very much. Do you want to take a seat?
A. Thank you.
Q. All right. Yes, thank you, Mr Molyneux.
MR MOLYNEUX: Please could you tell the court your full name?
- F** A. Nadia Zahmoul.
Q. And your address, please, Mrs Zahmoul?
A. 3093 Arrowhead Road, Teton Village, Wyoming 83025.
- G** Q. Judge before we start, although there is what looks like a microphone in front of you, that will not amplify your voice. So in order for everybody, most importantly the judge, to hear what you are saying, you have got to keep your voice up.
- H** A. Okay.
Q. And because his Lordship wants to understand what your evidence is, you are going to have to speak reasonably slowly, not artificially so but reasonably slowly ----
A. Okay.
Q. -- so that everybody can hear and understand and, if necessary, take a note of what it is that you are saying. Okay. You have produced a number of statements and affidavits in these proceedings. Those are already in evidence so we do not need to take you to those in order to tell his Lordship that you are relying on them, because his Lordship understands.

- A. Yes.
- Q. The procedure now is that you will be asked questions by Miss Campbell, but before she does that, there are just a couple of points that I am going to - again with her agreement - ask you about arising from the section 25 statement of Karim (as I am going to refer to him without any disrespect). There was a suggestion that you had had an affair with his mother's oncologist, I believe Mr Stebbing? Is that ----
- A. Professor.
- Q. Professor Stebbing?
- A. That is right.
- Q. Is that correct?
- A. No, it is not true.
- Q. Okay. So you are going to have to wait until the questions come out, and then you can answer. I know it is very artificial, and if you could try and direct your answers to his Lordship because he is the most important person. Okay. And it was also suggested by Karim that you had, as a result of an affair, I think with Professor Stebbing, conceived a child and there had been an abortion as a result of that conception. Is that true?
- A. Yes and no. So we underwent IVF treatment in 20 -- well, I had three rounds. Two at the Holistic Fertility Centre, and this is over 2009 or 2010. And one of the rounds resulted in -- well, two were lost, and one resulted very early, six or seven weeks, a foetus that had something called Edwards' syndrome. Some syndrome. And so I just had -- the nurse gave me a ----
- MR JUSTICE MACDONALD: I understand.
- A. That is it. So that is probably, I am assuming, what is being referred to, and it is a result of the IVF treatment with preserved specimen of the respondent.
- MR MOLYNEUX: One of the issues which arose yesterday was the disclosure of a MultiBit wallet, and it was suggested to the expert that it has come from you or come from CipherBlade on your behalf. Is that right?
- A. No, the -- no, your Lordship. I am not sure the note -- the Gemini and the MultiBit wallets, as well as other evidence, comes from a part of *Imerman* that is called hard documents, 200 pages, that went to the respondent's solicitor on April 16 2021, and he responded to the hard copy section on 24 June 2021, and on 6 May 2021 he sent me a text message with full copies of what had been sent to HFC, the hard documents. So those that he sent me, full copies of the 200 pages, I called Pinocchio -- they are called Pinocchio. And the other two binders are called Barclays and UBS, and I will talk about them later. But the Pinocchio is 200 pages that forms of basis of what took me

IN PRIVATE

- A** four years to understand. And in it was MultiBit and Gemini. Now, because he sent them to me, they are no longer *Imerman*, they lost their confidentiality status and I can use them. And that is where the information came from. It is directly from him.
- B** Q. Thank you. Now, Mrs Zahmoul, I do not have any other questions. If you stay there, Miss Campbell will. Before she starts, can I just tell you that Ms Vorri, who is sitting behind you, will be assisting with the page numbers in the bundles. So if Miss Campbell references something, you just leave it to Ms Vorri to help you with that. Okay?
- C** A. So I cannot reference anything because ----
- Q. Sorry, I am afraid I am now going to hand over to Miss Campbell, who will be asking you the questions.
- A. Thank you.
- D** MR JUSTICE MACDONALD: Yes, Miss Campbell.
- MISS CAMPBELL: Thank you, my Lord.

Cross-examined by Miss CAMBPELL

- E** Q. Mrs Zahmoul, I am sure you understand that one of the first jobs for the judge to do is to try and understand what assets there are to share between the parties. That is his first job. Do you understand that?
- F** A. Yes. Yes, your angle is really difficult for me. I am really ----
- MR JUSTICE MACDONALD: Well, Mrs Zahmoul, do not worry about looking at me.
- A. Okay.
- Q. All right? I can hear you very well.
- G** A. Thank you.
- Q. So you look at Miss Campbell ----
- A. I cannot. She is -- I am really sorry.
- Q. Okay. Well, then look at me, but what you need to do ----
- H** A. I am trying ----
- Q. Okay. Just listen to me. You need to listen. Wherever you look -- okay?
- A. Yes.
- Q. I do not mind where you look ----
- A. Well ----
- Q. -- but listen carefully to Miss Campbell.
- A. It helps me to look at her because then I can see her speaking.

IN PRIVATE

- A** Q. Yes.
- A. And I can hear. But her -- the light she is on is hard. So I am going to do this.
- Q. Okay. Fine. Yes.
- MISS CAMPBELL: So the judge has to work out what the assets are. That is his first job.
- B** We call it computation. He has to decide what is available before he decides how to share it. And am I right, Mrs Zahmoul, that it is your case that apart from what Mr Zahmoul has said is on the asset schedule, you are saying that there is £141 million at least that is missing? Am I right? Is that your case?
- C** A. That -- okay. The -- I just would like to bring in ----
- Q. No, I am very sorry, Mrs Zahmoul, this is not ----
- A. Yes.
- Q. -- an opportunity for you to lecture. Just let me know the answer to my question. Is it
- D** your case that the assets are at least £141 million missing?
- A. Your Lordship, the nature of crypto assets is something called exposure to ----
- MR JUSTICE MACDONALD: No, no. Mrs Zahmoul ----
- A. Okay.
- E** Q. -- I am going to be -- I am going to be very strict about this. All right? You need to listen to the question and answer the question that you are asked.
- A. Yes.
- Q. All right?
- F** A. Yes.
- Q. And I mean that, because that is the way this court works.
- A. Yes.
- Q. All right? So I am going to ask Miss Campbell to put her question again, and I want
- G** you to answer it. Okay?
- A. Yes.
- MR JUSTICE MACDONALD: Miss Campbell.
- MISS CAMPBELL: Thank you. So, Mrs Zahmoul, is it your case, are you saying to the
- H** judge that apart from what Mr Zahmoul says is in existence, there is another £141 million at least that is missing?
- A. Yes.
- Q. Is that your case?
- A. Yes, it is.

IN PRIVATE

- A** Q. Before we examine the assets that you say are missing, can we talk about the assets that Mr Zahmoul says are in existence? Have you seen a copy of the ES2? That is the schedule of assets that Mr Zahmoul says is present.
- A. The most recent one?
- B** Q. It is called an ES2. It is a schedule, an Excel spreadsheet, showing everybody's assets, and we have them in the bundle, and we all have them, and your counsel has seen my copy. Do you know the document I am talking about?
- A. Yes, absolutely, yes.
- C** Q. You do. Have you had a chance to have a look at that document?
- A. Yes.
- Q. And do you accept all the figures that are on that document?
- A. No.
- D** Q. Where is your version of the accurate figures on that document?
- A. That -- where I ----
- Q. Do you see on that document there is a column for what Mr Zahmoul says are the accurate figures, and then there is a column for you to say what you think are the accurate figures.
- E** A. So I am sorry ----
- Q. Where are your figures?
- A. Okay. You are asking me to assess assets over which I don't have visibility ----
- F** Q. No, Mrs Zahmoul, I am not. I will repeat my question.
- A. Where it might ----
- Q. On the ES2 -- it is a form that you agree you have seen. In that form, Mr Zahmoul in one column says what he thinks the assets are worth. And next to it is another column, and on that column you are supposed to say what you think the assets are worth.
- G** A. So I do not have assets of my own that I can quantify for you ----
- Q. No, again I am sorry, Mrs Zahmoul, you are not answering my question.
- A. I am really sorry.
- H** MR MOLYNEUX: (Inaudible) starts to answer before we interrupt her.
- THE WITNESS: I do not have access that I can control and over which I have visibility where I can have a statement. There is no column on the wife's side simply because -- and I do not agree with the balance sheet simply because there is -- because of the -- because of the disclosure process that this -- that the proceedings have turned, because there is no way to verify those numbers. Do you want me to go in details?

IN PRIVATE

- A** MISS CAMPBELL: No. Let me ask you this. Do you accept that there are -- there is a property in Wyoming that you and Mr Zahmoul own? Do you accept that?
- A. Two. Two properties.
- Q. Two. What do you say they are worth?
- B** A. At the valuation of 11 May 2022, one was ----
- Q. No, now.
- A. One was -- I don't know. We have not received the appraisal.
- Q. Okay. Well, let me tell you. On the ES2 Mr Zahmoul says that the property that you
- C** are in, 3100, is worth £7.42 million. Do you agree with that?
- A. Is that the value -- if that is the last valuation of 11th May 2022, then it is a valuation of that. As you say it is appraised ----
- MR MOLYNEUX: Has she got the details in front of her?
- D** THE WITNESS: That is the appraisal.
- MISS CAMPBELL: Let me have a look, Mrs Zahmoul. I am just trying to understand whether you accept the figures that Mr Zahmoul is relying on.
- A. The properties ----
- E** Q. Do you accept the property that you live in is worth \$7.42 million?
- A. I just said on 11 May 2022 we received two formal appraisals from Rocky Mountains. One was 7 -- the one you said. The other one was 500,000 less. That is ----
- Q. So 4.39?
- F** A. No.
- Q. 7.39?
- A. No. 7.3 and 7.2. They were very close. Similar. They were very close. They were very close in value. Yes, I do accept.
- G** Q. So I am not clear whether now you accept the figures I am proposing or not?
- A. Okay. I accept the formal values returned by Rocky Mountain appraisers on 11 May 2022, but the regularity body of real estate appraisers in the US says that it is valued for six months. We have made a request to have an updated version of those. I do not
- H** know at this point what is the market value because my finger is not on the pulse of the market. But two formal ones from May 2022 were 7.3 and 7.25, more or less. I accept those but they are up -- they need updating.
- Q. So are you -- can you have a look in the bundle for me, please, at 640? This is an order that was made on the last occasion, and it ordered you to file a bundle, or your solicitors to file on your behalf a bundle with some documents in it, including an ES1, which is probably not important, but an ES2. So you were ordered to file your version of this

IN PRIVATE

- A document I have been talking about in the bundle, and you have not done that. What is your explanation for not doing what you were asked to do by the judge?
- A. Is the question why I did not file this specific order, or generally why is it -- why do I not comply with all the orders?
- B Q. Why did you not comply with this ----
- A. This one?
- Q. -- particular order?
- A Which one specifically? Ordering me to do what?
- C Q. It is p.640 at para.16(ii), "The bundle shall include", and above it you can see it says: "The solicitors shall send the bundle by 4.00 p.m. on 12 February". So by that date we should have had your version of an ES2. Why did you not do that?
- A. Which is a summary of my assets - right? I worked 24 hours a day and every single day of the week, and as one single person it is very hard for me to keep up with everything. That is the true answer. I don't have another one.
- D Q. All right. Have a look at p.564 in the bundle, please. If you look now at para.21 ----
- MR JUSTICE MACDONALD: You might want to move that jug of water before it goes
- E everywhere. Sorry, Miss Campbell, the page number again?
- MISS CAMPBELL: I am sorry, p.564.
- MR JUSTICE MACDONALD: Thank you.
- MISS CAMPBELL: Mrs Zahmoul, you will see an order at para.21, which says:
- F "The parties shall, by no later than 4.00 p.m. on 20 January 2024, simultaneously exchange updated, open offers."
- G So you were being ordered to provide your open offer by 20 January, and you did not do that. Why not?
- A. To provide an offer ----
- Q. An open offer. Your case.
- A. Yes.
- H Q. What you wanted.
- A. It is very difficult to provide an offer when what I received is nowhere in the range of the universe of what is possible but -- or what is true actually. It is very difficult, negotiation. We are not given overlapping, so I will be really wasting your time, you know, I mean, I ----
- Q. Your counsel made an open offer, effectively, in your position statement, which we got on Monday morning ----

IN PRIVATE

- A** A. Who? Sorry, who?
 Q. Your counsel, Mr Molyneux, in his note to the judge ----
 A. Yes, I ---
 Q. -- he set out ----
- B** A. Yes.
 Q. -- your position ----
 A. Yes.
 Q. -- your open position.
- C** A. Yes.
 Q. You want everything. That was ----
 A. Yes, that is the position he set out.
 Q. So it was okay for you to say that on 19 February. Why could you not have said that on
- D** 20 January?
 A. Probably because I was doing the rest: writing my statement, 20 January, making my
 way from Wyoming to here and doing the work.
 Q. You were too busy?
- E** A. Not too busy, because that sounds like I am not respectful.
 Q. Yes.
 A. Which is not correct. So just going down trying to finish statements, conduct, and
 whatever.
- F** Q. So you considered that the judge's order ----
 A. No, I was actually ----
 Q. -- requiring you ----
 A. -- fulfilling his -- I was busy with order, with orders.
- G** Q. Okay.
 A. Okay? But I have to prioritise, that is -- and I need to do conduct and section 25, as a
 priority to the offer, which we made yesterday.
 Q. Do you understand the purpose of these orders, to get the schedule organised ----
- H** A. I do.
 Q. -- and to get the open offer organised ----
 A. I do.
 Q. -- is not just so that you can put your case, but it is also so that Mr Zahmoul can
 understand what your case is. Do you understand that is important?
 A. I agree, yes.

IN PRIVATE

- A** Q. Yes. You do not think that that -- particularly because the judge also thought it was important, he ordered you to do it ----
- A. But it is ----
- Q. -- that you should have complied with that order?
- B** A. I do, and I apologise because I -- we are going to go through the orders outstanding, I am sure, and there is a list. So I apologise in advance. I am doing my best.
- Q. On the schedule of assets that Mr Zahmoul has put forward, there is a difference between what he says the tax is that is going to have to be paid, compared to what Mr
- C** Molyneux says in his document. Mr Molyneux's figures are about £500,000 in ready, numbers, in round numbers, in relation to tax. He says that there is about half a million pounds less tax to pay for Mr Zahmoul, and he also does not account for the tax on the
- D** Coinbase shares, which is about another 350. So on the schedule we are about £850,000 apart. Do you accept the figures that Mr Zahmoul is putting forward? Do you agree with his figures?
- A. No, and may I please ask you which taxes are you referring to?
- Q. Well, the taxes that Mr Molyneux has put in on your behalf ----
- E** A. No, no, on your side, please. Which taxes on your side ----
- Q. Let me ask you the questions, if I may, Mrs Zahmoul.
- A. Well, no, she ----
- MR MOLYNEUX: She has got to be able to ask that question. She is seeking clarification of
- F** what the question means.
- MR JUSTICE MACDONALD: Mr Molyneux, if I have a difficulty, I say I have a difficulty.
- MR MOLYNEUX: My Lord.
- MR JUSTICE MACDONALD: All right. Yes.
- G** MISS CAMPBELL: (To the witness): The figures that Mr Molyneux has given us and the figures that Mr Zahmoul has put on his ES2 ----
- A. Yes.
- Q. -- are £850,000 apart ----
- H** A. Can I have granularity?
- Q. No. I want to understand ----
- MR JUSTICE MACDONALD: Let us just refer -- let us have a copy of your ES2 in front of the witness. (After a pause)
- MISS CAMPBELL: We have not got sufficient hard copies in A3 that are legible.
- MR JUSTICE MACDONALD: Yes.

IN PRIVATE

- A** MISS CAMPBELL: So we have got hard copies coming down. Let me move on, and then when they come in, I will put those ----
- THE WITNESS: But can -- I can answer you.
- MR JUSTICE MACDONALD: Mr Molyneux looks like he has an unmarked copy.
- B** MISS CAMPBELL: That is perfect, thank you.
- MR MOLYNEUX: I am just checking I have got the right one. (After a pause)
- MISS CAMPBELL: That is really helpful. Thank you. (To the witness): I hope you can read that, Mrs Zahmoul, because I had trouble ----
- C** A. Thank you. Thank you. Okay. So, now you can tell me ----
- Q. Yes.
- A. -- which taxes you are referring to.
- Q. If you look, for instance, in the left-hand column you can see 240 Frost Street. Can you
- D** see that? It is in bold.
- A. So you are doing property?
- Q. Yes.
- A. Real estate in the US? Okay.
- E** Q. Exactly.
- A. And this is US ----
- Q. It is.
- A. Correct. IRS page.
- F** Q. Exactly.
- A. Okay.
- Q. So if you look under there, we can see there are a few lines that say "less costs of sale". I am not worried about that.
- G** A. Mm hmm.
- Q. And then it says "less US CGT" ----
- A. Yes.
- Q. -- "less New York transfer tax and less New York tax".
- H** A. Mm-hmm.
- Q. And if you scroll along the row and you come to the property, you can see the figures that Mr Zahmoul is saying need to be paid, and in sterling you can see the figure there of 191,940. That is CGT ----
- A. I am sorry. Are you on the first page?
- Q. Yes.
- A. Yes.

IN PRIVATE

- A** Q. So you saw where we were looking at Frost Street ----
A. Okay. I am sorry, was not ----
Q. Yes. Then just run your finger along the row.
A. Yes, absolutely, yes.
- B** Q. That is it.
A. Okay.
Q. You can see in red these are the figures that Mr Zahmoul says have to be paid in tax, and there is 191,940 in CGT?
- C** A. Yes, yes, including the rollover.
Q. Exactly.
A. Yes, okay.
Q. And 375,000 for the New York transfer tax?
- D** A. Mm.
Q. And then underneath 34 for the New York tax. And those figures all together come to £558,000.
A. Okay.
- E** Q. Now, your counsel, in his document, he has added up the figures and he comes to a different figure. He says it is £747,000. That is the figure in your counsel's note. Trust me, it is his numbers I am relying on.
A. Yes, yes, yes.
- F** Q. So there is about £200,000 apart on those two figures. Do you understand?
A. Of course, I do, yes.
Q. Yes. If we then look at Arrowhead, let us look at 3100, Arrowhead, the same thing, if you follow underneath the bold address you can see it says "less US CGT and New
- G** York State". If you follow along, Mr Zahmoul says there is 1.3 million to be paid in CGT, including the rollover. Can you follow?
A. Absolutely.
Q. And your counsel, Mr Molyneux, relying on your figures, puts it at just over a million.
- H** So we are about £300,000 apart on those figures.
A. We are a lot more. So if I may ask you where is the computation behind these matters, please?
MR JUSTICE MACDONALD: Well, just -- no.
A. Okay.
Q. The way this works is counsel asks a question ----
A. Okay.

IN PRIVATE

- A** Q. -- and you answer.
- A. Okay. So, your Lordship ----
- Q. As I understand your answer, you said: "We are much more apart".
- A. Oh, we are. We are, yes.
- B** Q. Okay. Why?
- A. Firstly, we have four years of proceedings and it has been agreed from the beginning all tax numbers have to be provided by CPA on computations done by CPAs, and the overall -- overarching principle on the tax had to be agreed between us. So the first one
- C** did not happen and that -- these are taxes, they are -- they depend on many metrics. Some of them are US statutes, immigration statutes, so I do not see what is behind -- the answer is I can see a number that we have been saying for four years no number -- no tax numbers will be accepted without a CPA computation. I need the spreadsheet with
- D** what assumptions are behind. So, for example, because I am a US citizen and Mr Zahmoul is not, and because we have something -- hold a deferred capital gain, it is called a 1031, when we sold one property and made a capital gain of \$4 million in 2016, we were allowed to -- as long as you buy the same property under the same legal
- E** owners, you defer the gain to the next one, which is how we did first part of Frost Street and ----
- Q. I understand.
- A. Okay. So that -- the tax -- so the ----
- F** MISS CAMPBELL: Mrs Zahmoul, I just want to interrupt you ----
- A. The tax -- the tax -- the tax number is going to depend on who gives to whom ----
- MR JUSTICE MACDONALD: I understand.
- A. That is it. So I -- this means nothing and we have -- we have been saying for four years
- G** that ----
- Q. I see.
- A. -- I cannot accept tax numbers from a spreadsheet. They have to come from a proper CPA. Mr Zahmoul had four in every jurisdiction.
- H** Q. Thank you. I understand.
- A. Thank you.
- MISS CAMPBELL: So, Mrs Zahmoul, you understand how important it is for us to get a figure that the judge can make a decision about ----
- A. Yes, you just removed them from the bundle that I gave you this morning.
- Q. And so ----

IN PRIVATE

- A** A. I have updated the tax numbers for real estate transfers under the scenario that Mr Zahmoul is not a US resident and he is not a US citizen. And those numbers were in the bundle of this morning.
- Q. Okay.
- B** A. The original memo from my CPA was dated August 16, 2021 for the balance sheet ----
- Q. I am going to take you to that ----
- A. -- and it was an updated computation with the attached spreadsheet from my CPA. CPA update and it was ----
- C** Q. Mrs Zahmoul, I am really sorry, but I need to ask you some questions.
- A. I hope I am helping the court understand.
- Q. You are telling me things you want me to know, but it is actually not answering my question.
- D** A. Well, I ----
- Q. I simply said to you, you can understand, can you not, that it is important for the judge to have some figures so he can make a decision?
- A. Yes, so ----
- E** Q. You understand that?
- A. Your Lordship, my -- I only have -- the only assets that have my name on it is the real estate, and on August the first order of the FCA was to get the tax numbers for pensions and ----
- F** Q. Let us have a look at that order. Let us go in the bundle at p.26 ----
- A. And I produced ----
- MR JUSTICE MACDONALD: Can you just turn to p.26, please?
- A. Yes. Thank you.
- G** MISS CAMPBELL: This is an order that was made as long ago as 7 April 2021.
- A. Yes.
- Q. So nearly three years ago. Her Honour Judge Cope made an order to try and sort this problem out. The judge recognised it was important ----
- H** A. Yes.
- Q. -- and three years ago she tried to sort it out. So she said that Mr Zahmoul shall serve on you his tax calculations, and, effectively, at para.26 you can see it there: "The parties shall use their best endeavours to agree the above tax figures", but if they cannot agree, then you have permission to serve your figures. That is what the judge said: "You can provide your figures". So Mr Zahmoul gives you his calculations, and if you are not happy with them, you can provide your figures. Do you understand that?

IN PRIVATE

- A** A. I understood.
Q. Yes?
A. My figures ----
Q. Okay.
- B** A. The assets that had my name on it - right?
Q. No. Mrs Zahmoul, do you understand what the order required you to do?
A. Yes, I do, yes.
Q. You did not serve your own figures. Why is that?
- C** A. I ----
Q. In response to this order, you did not file any figures. Why not?
A. Yes, I did. On August 6, 2021 I filed the real estate figures with four different scenario. And on August 10, 2021 I filed my CPA's figures for pensions. I did.
- D** Q. Let us have a look in the bundle at 4230. It might assist to keep the orders bundle open along with that on the desk.
A. 43?
MR JUSTICE MACDONALD: 4230?
- E** MISS CAMPBELL: Yes. Thank you.
MR MOLYNEUX: It is not in the bundle.
MR JUSTICE MACDONALD: 4230, I have it in electronic bundle. Do you have it? (After a pause)
- F** MISS CAMPBELL: It is in the bundle. It should be ----
MR JUSTICE MACDONALD: Yes, I think we are all getting there.
MISS CAMPBELL: -- 4230
MR JUSTICE MACDONALD: (To the witness) Do you have that?
- G** A. This page?
Q. Yes.
MISS CAMPBELL: This is Mr Zahmoul's advice about tax in the UK. You are familiar with this because I think you have exhibited this yourself?
- H** A. Not the same version. I have the earlier version as well, the one he sent on April -- the one dated April 13, 2021.
Q. Right.
A. It was very similar except for the last paragraph.
Q. Okay. But you have seen this document?
A. Yes.
Q. This is his advice about UK tax ----

- A** A. Yes.
- Q. -- in June 2021 ----
- A. Yes, that is not US.
- Q. That is right. And if you look above it, or at an earlier page at 4229, that are some US
- B** tax figures there, or tax statement there?
- A. This is -- this is his English tax accountant. There is a big this section when he said:
"We are not Portuguese specialist and we are not US tax experts".
- Q. Okay.
- C** A. This is Andrew Gannon.
- Q. And, if right -- you are right, that you had your accountant on 6 August, 2021 ----
- A. Yes, and ----
- MR JUSTICE MACDONALD: Just listen to the question.
- D** A. Sorry.
- MISS CAMPBELL: -- provide a statement or a letter setting out your position. That is 6
August, 2021?
- A. And on (inaudible).
- E** Q. But the order said that you had to get your evidence or your position in before the
private FDR, which was in July ----
- A. Sorry, which one of Mr Zahmoul's has been filed before the private FDR?
- Q. Okay, let me -- I have just taken you to the documents. Mr Zahmoul in June puts some
- F** documents before you, because that is what the judge ordered him to do, and you were
ordered to respond to those documents. We have just looked at the order. And you had
to do that six weeks before the private FDR. The private FDR was in July 2021. You
produced this document in August ----
- G** A. I am really sorry ----
- Q. -- do you understand?
- A. No, no, not at all. Not at all. Are you saying -- is your question why is my memo of --
is my schedule August 6 is late?
- H** Q. Yes, why was it not produced, as the judge ordered, before the private FDR?
- A. I am sorry, can I have the FDR judge, Judge Cope (inaudible). Can you just read -- tell
me what page ----
- Q. Page 26, paragraph ----
- A. Your Lordship, my contribution to the tax visibility is limited to ----
- MR JUSTICE MACDONALD: Well, just let us stick with Miss Campbell's question.
- A. Yes, I understand. Okay.

IN PRIVATE

A Q. You asked to see the order ----

A. Okay.

Q. -- and Miss Campbell is now going to take you ----

A. Yes, yes.

B Q. -- back to the order that she referred to ----

A. Yes.

Q. -- at the start of this.

A. Yes, and ----

C MISS CAMPBELL: Paragraph 26.

A. I am sorry?

Q. Paragraph 26 on p.26.

A. Yes.

D Q. So I have referred you to this before:

"The parties shall use their best endeavours to agree Mr Zahmoul's figures. In the event that they cannot be agreed by 4.00 p.m. on the date six weeks prior to the FDR ..."

E And that was on 20th July 2020 ----

A. Yes.

Q.

F -- "the applicant [that is you] shall have permission to serve on the respondent competing calculations."

So what the judge was trying to do, Mrs Zahmoul, was to get the judge who heard the private FDR in July ----

G A. Yes.

Q. -- all the important material, and that included the tax figures. And so you were ordered to provide your figures prior to July 2021, and we have just looked at your figures.

They were dated August.

H A. And ----

Q. So my question is this: why did you not have your tax figures in advance of the July hearing as you had been ordered to do? Why?

A. Okay. And why did I -- did ----

Q. No, answer my question.

A. And so -- "(inaudible) tax figures, which is disposable (inaudible)". So the paragraph at 26 is asking me to provide the tax numbers on 25(a), (b), (c), (d) and (e) and I can only

IN PRIVATE

- A** do the real estate because I do not have my name on anything else. So I produced the real estate in August, and I apologise to the court for that. The same court order asked us to produce updating disclosures six weeks before the FDR. And 24 hours before the FDR the respondent filed a 7 million increase in the balance sheet that I did not know of
- B** before, and that I struggled over the weekend to re-do the entire balance sheet in light of this news, which floored me.
- Q. Okay, Mrs Zahmoul, I understand ----
- A. So updating this folder was also due six weeks (inaudible). Yes, that is ----
- C** Q. You have explained ----
- A. Yes.
- Q. -- that you were surprised by the Coinbase disclosure 48 hours before the FDR.
- A. But -- no ----
- D** Q. That does not explain why your tax advisers ----
- A. I can -- I can only do real estate. I cannot produce taxes on assets that I do not control. It is unimaginable. My name is only on the real estate, nothing else.
- Q. I am going to move on, but I just want you to understand the point I am making, Mrs
- E** Zahmoul ----
- A. No. Would you please tell me your point?
- Q. Yes. Mr Zahmoul gave you his position in a document from his lawyers ----
- A. Which -- which one?
- F** Q. -- his accountants. The ones we have just looked at ----
- A. But that is not our position ----
- Q. -- setting out what he understood to be the position.
- A. That is not ----
- G** Q. And you were asked ----
- A. That is not a tax ----
- Q. -- to respond and you did not.
- A. Okay, let us go back to that memo, please.
- H** MR JUSTICE MACDONALD: I think, Miss Campbell ----
- THE WITNESS: I have it here.
- MR JUSTICE MACDONALD: -- I have the point.
- MISS CAMPBELL: All right.
- THE WITNESS: This is a generic memo with no numbers. I am reading it. May 26 2021, right? It says: "In the divorce if you transfer the appreciated property to your spouse, the receiving part will get a carryover basis of what" -- you have no step up or gain

IN PRIVATE

- A** recognition. And then it says the transfer of crypto is the same. It is generic and -- I do not -- there is no ----
- MISS CAMPBELL: No ----
- A.** Nothing. No computation, nothing.
- B** **Q.** No immediate tax to pay, it will roll over as you have described, but they will carry over ----
- A.** What? No. Yes, there is an immediate tax. It is the transfer one. They are talking about the other one.
- C** **Q.** If you -- if that was your case, the judge needed to know what you were saying, your position was, but there was nothing.
- A.** No, on this -- but this is not a computation. This is generic.
- Q.** All right.
- D** **A.** This is saying theoretically because the four -- there is nothing to answer. I mean, the FDR judge had no problem with figuring out the taxes because the underlying -- the driver of taxes is my citizenship and his non-citizenship.
- Q.** All right.
- E** **A.** That is all this is saying.
- Q.** Mrs Zahmoul ----
- A.** Yes, Miss Campbell.
- Q.** -- you were asked effectively by Her Honour Judge Cope and indeed this judge, Mr
- F** Justice MacDonald, to try and agree the tax figures ----
- A.** Yes.
- Q.** -- and I think ----
- A.** Yes.
- G** **Q.** -- no less than nine orders were made to try and agree the tax calculations. Do you accept that as we stand here today ----
- A.** Yes, yes.
- Q.** -- you have not given any schedule or any response ----
- H** **A.** Yes.
- Q.** -- to the schedule of tax that Mr Zahmoul produced ----
- A.** Yes.
- Q.** -- back in 2021?
- A.** I have not received any tax numbers from Mr Zahmoul that I can accept, as you ----
- Q.** You cannot accept them?
- A.** No.

IN PRIVATE

- A** Q. But you have not given your version of the figures, in accordance with nine orders?
A. Nine orders and, probably more than that, I think your client should provide numbers from tax experts.
Q. All right.
- B** A. More than that and ----
Q. I will try this from a different angle, Mrs Zahmoul.
A. Oh, please.
Q. Is it fair to say that you instructed an accountant, Nick Warr at Taylor Wessing, to
- C** negotiate directly with Mr Zahmoul ----
A. Yes.
Q. -- to try and work out the figures?
A. (Inaudible).
- D** Q. Is that true?
A. That is correct, yes.
Q. So although we did not have your case in writing, what we had was a negotiation going on. I think it was without prejudice - is that right?
- E** A. What does -- you mean that we can -- we can share the information? Yes, we ----
Q. At the time did you instruct Mr Warr to share any information ----
A. All of it is always open, open correspondence.
Q. All right.
- F** A. It is open.
Q. Okay. I am told I misrepresented. He was actually a tax lawyer, not an accountant.
A. When you say I am instructed to provide tax figures, I really need to say one more thing. I can only provide taxes on assets that I own. I cannot tell you how much -- how much
- G** Boeing shares are going to be taxed, because it is not my tax position. I cannot instruction his broker to give me the tax because it is very particular to his -- to his circumstances. There is a lot that goes in the tax model, and I cannot do taxes for him.
Q. Right.
- H** A. It is simple.
Q. On 21 July 2022, Mr Zahmoul prepared a table of all the tax issues, with his view, according to his advice, and figures for tax, and that was sent to your solicitors at the time, Withers, and it has been referred to in the order as the tax schedule.
A. I am sorry, on which date ----
Q. Do you remember that document?
A. I remember that extremely well, but on which date do you say the table was sent?

IN PRIVATE

- A** Q. On 21 July 2022.
A. Okay. Can you please get the order of 10 July 2022, and then tell me where the table ---
MR JUSTICE MACDONALD: Well, again ----
A. Okay.
- B** Q. -- listen to the question ----
A. I know the que -- I know where ----
Q. -- and answer the question.
A. Okay. Okay.
- C** Q. All right? Otherwise if you just keep going, it is not helping you. All right? Miss Campbell and Mr Molyneux are both here to assist me ----
A. Okay.
Q. -- to understand the case. Okay? So if you answer the question, that will help. All right? Okay.
- D** MISS CAMPBELL: Thank you. If you turn to p.318, I will take you to the order that I think you are looking for ----
A. Not November. July, it is.
- E** Q. Well, go to p.380 in the bundle, please.
A. Thank you very much.
Q. Can you see para.8? This is an order, just so you can place it, that was made on 13 July 2022 by Her Honour Judge Cope, and ----
- F** A. Yes.
Q. -- she made various orders ----
A. Absolutely.
Q. -- and at para.8 there is a recital ----
- G** A. Yes.
Q. -- and this is saying ----
A. Yes.
Q. -- "The parties will discuss" -----
- H** A. Yes.
Q. -- "and endeavour to agree the principal," ----
A. Yes.
Q. -- "insofar as possible, figures" ----
A. Yes.
Q. -- "in relation to tax by 4.00 p.m. on 10 August" ----
A. Mm-hmm.

IN PRIVATE

- A** Q. -- "and they will do so through the respondent continuing his discussions with the applicant's adviser, Nick Warr, at Taylor Wessing" ----
- A. Understood.
- B** Q. -- "and the parties will thereafter prepare a schedule setting out what is agreed and what is not agreed, and where there is still lack of clarity in relation to tax". So, again, the judge was saying: "Let us at least see what the issues are". Do you follow?
- A. No, I am sorry, she said: "First try to talk, and if you do not agree, then prepare a schedule". This is very important, because I am going to show you what you are trying
- C** to tell me that there is a table that came with this order. The ----
- Q. No, Mrs Zahmoul, you are trying to predict what I am going to ask you. Let me ask you the question ----
- A. You said I am ----
- D** Q. I am asking you if you understand what that paragraph means?
- A. It says -- your Lordship, Judge Cope asked us to try to agree that issues matters, and if we could not, at least devise a schedule of the matters we did not agree. If my understanding is correct, it means first discuss everything, and then narrow it down only
- E** to the matters not agreed. If my understanding of English legally is correct, please say so. That is what I understand, meaning ----
- MR JUSTICE MACDONALD: Okay, I have got it.
- A. Okay, thank you.
- F** Q. Listen to the next question.
- MISS CAMPBELL: So as a result of that order ----
- A. Yes.
- Q. -- Mr Zahmoul continued to have discussions with your adviser, Nick Warr. Do you
- G** agree?
- A. No. No. The following discussion is in August.
- Q. All right.
- A. I am sorry, it is August.
- H** Q. You are saying that there was no discussion ----
- A. No, there were. The following emails were in August.
- Q. All right.
- A. Which brings me -- which brings us to the table you are going to mention.
- Q. So there was a table produced by Mr Zahmoul setting out all his propositions about tax, dated 21 July. It was sent to your instructing solicitors.
- A. Okay, and do you know the title of that table?

IN PRIVATE

- A** Q. It says "Schedule of outstanding" ----
A. Exactly.
Q. -- "issues for agreement".
A. Okay. That is a money prediction because there is -- it is not outstanding, it is all at -- at
- B** that stage we are in July. Mr -- your client has not spoken yet to Nick because the emails were in August. We received -- the judge's order does not state ----
Q. Well, can you just ----
A. The judge's order does not state a table. It says "make a table of the outstanding issues",
- C** and I get -- we get on 21 July a table that says "outstanding issues". That is a manipulation, because they were not outstanding. This is your client narrowing the universe of matters to suit his case, not mine. So ----
Q. So have you filed ----
- D** A. -- outstanding is a manipulation. It is ----
MR JUSTICE MACDONALD: Mrs Zahmoul ----
A. I am done.
Q. -- I have the point. All right?
- E** A. Thank you.
MISS CAMPBELL: If that was a manipulation, Mrs Zahmoul, would not the best thing for you to do -- is to get your tax advisers to add to that table their view of the other outstanding issues that he has missed off? Would that not have been a good thing to
- F** do?
A. No, I would -- if I would (inaudible) that, why wouldn't he start from the restricted universe of your client? This is -- number one -- the number -- that is not at all what -- what are we doing. Not at all. Because I am starting with a myopic view. Already I
- G** am constrained and watched. That is -- no, that is not the way to do taxes.
Q. Apart from not being able to agree a schedule of taxes, you and Mr Zahmoul have been trying, as I understand it, to agree to file amended tax returns in the US.
A. Excuse ----
- H** Q. Is your ----
A. No.
Q. No?
A. No, we do not file jointly, no. I am sorry, I have no idea what you are talking about. I ----
Q. All right. Let me repeat my question ----
A. Yes, please.

IN PRIVATE

- A** Q. -- in a more clear and simple way.
A. Yes, please. Yes, please.
Q. You have filed joint tax returns for 2020, '21 and '22 ----
A. No.
- B** Q. -- so far?
A. No.
Q. No, I am misunderstanding ----
A. Can I explain to you, if you want? I can explain to his Lordship. So I think ----
- C** MR JUSTICE MACDONALD: Well, I think ----
A. Okay.
Q. -- it may be that Miss Campbell is -- just give Miss Campbell a moment ----
A. Yes, but it is ----
- D** Q. -- to take instructions.
A. It is the LLC.
Q. Just pause a moment.
A. No problem. I can -- I know. (After a pause)
- E** MISS CAMPBELL: I am sorry, I have misunderstood.
A. That is okay.
Q. It is in relation to the properties in America ----
A. Yes.
- F** Q. -- because they are owned jointly through the LLC ----
A. Yes.
Q. -- there are corporate tax returns that are filed by you both through the LLC?
A. Yes.
- G** Q. That is the joint document I am referring to.
A. Can I explain to you?
Q. No. Let me ask the question.
A. Sure, yes.
- H** Q. Those documents were filed jointly in the LLC ----
A. No, they is not -- there is ----
Q. -- (inaudible) members of the LLC ----
A. No, they are (inaudible). So it is a partnership called 3093 LLC, and the partnership owns 100%. The legal entity is Limited Liability Company of Wyoming. It owns 100% of the house at 3093 where we lived, which we purchased in August during the lockdown, 2020. And the partnership is owned -- it has two partners who are equal in

IN PRIVATE

- A** unity and equal rights - the respondent and myself. We have -- I have the corporate documentation and everything. That partnership had one representative, who is the interface with the IRS and the regulatory. That representative is the respondent, and he filed the tax returns on behalf of partnership, and then distributes to each underlying
- B** partner a form called K-1, which is the partnership's share in interest, income, credit, and so on. So he -- the respondent -- a CPA can be involved, every year stands -- talks to my CPA. They coordinate. We have 50/50 of the LLC, and then he files the numbers for the partnership. That is it. The other house we own directly. There is an
- C** LLC structure but it is irrelevant because it is (inaudible) pass through.
- Q. (Inaudible).
- A. So we own 50/50 in joint names, and that is the structure.
- Q. Let us focus on the Wyoming properties ----
- D** A. Anything you want, yes.
- Q. -- and those tax returns you have described were filed for the LLC by Mr Zahmoul in 2020 and 2021, and you were unhappy about those filings ----
- A. And '22. I still am.
- E** Q. Yes. And so it required Mr Zahmoul to fill them in and to send them to you, and he did send them to you before they were submitted to the IRS, did he not?
- A. Miss Campbell, his CPA in New York signed and sent them to my CPA, as he does every single year and ----
- F** Q. But they were sent to you before they were filed. You were involved in the compilation of them ----
- A. Absolutely, and we -- and I -- we could not -- I am sorry, what is your question?
- Q. Since those documents were filed ----
- G** A. Yes.
- Q. -- with the IRS ----
- A. Yes.
- Q. -- you have explained that you were very unhappy with the way they were put
- H** together ----
- A. Yes, this is ----
- Q. -- and we know that you complained in the proceedings in America in the Bank of Jackson Hole litigation ----
- A. Absolutely. I complained here as well. I filed a D11 on 27 April 2023 ----
- Q. You were unhappy with the contents of those returns - yes?
- A. No, no. It is not -- it is not literary. It is not a book. I am unhappy with them ----

A Q. You did not agree with them?

A. No, no, no. I am -- your Lordship ----

MR JUSTICE MACDONALD: What were you unhappy about?

B A. The representations in the IRS tax returns made by the accountant of the respondent are false. As a result of that, the computations done by the IRS are false. The problem is not only the computations, it is that as a result of the false representations and misrepresentations, and there is also an allocation of something called a recourse loan, which is also not correct. It prejudices my position a lot, significantly, and it puts me at risk because, in essence, the respondent has represented that he is a US citizen, which he is not, and that I am a UK citizen, which I am not, and as a result of that he was able to self-nominate himself as the partnership representative, which gives him, among other things, the right to start to interface with the IRS, to interface with the bank, to renegotiate the loan, the mortgage, to open an account, to close an account, and take decisions on behalf of the partnership. He is not eligible to be a partnership representative since he is not a US resident and not -- this is very relevant to the court, and he is not a US -- he is a -- he is a -- he does not pass the residency test on the number of days ----

E MISS CAMPBELL: So, Mrs Zahmoul, in answer to my question, yes, you were not happy with the content of the tax returns ----

F A. And I filed a D11 so the court knows I was not happy that there is -- the other reason I was not happy ----

Q. As I said, I am asking you the questions, so if you can just focus ----

A. But okay ----

Q. -- on answering my questions?

G A. Sure.

Q. Do you understand, Mrs Zahmoul, we can be here all day talking about these subjects ----

A. If ----

H MR MOLYNEUX: To be fair to her, your Lordship, you did say to her: "What were you not happy about?"

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And she was answering your question.

MISS CAMPBELL: And she did answer the question.

THE WITNESS: And I am really trying to help the court understand the assets, because they are complex. I did -- okay, so the second part that I was not happy with -- and, by the

IN PRIVATE

- A** way, I was not covertly unhappy, I was very -- my CPA has been telling his CPA for three years, okay. So the other part which is -- I am really going to try to explain this. It is in my D11 of April. This is piecing together because I am not an accountant, but now I have the formal explanation. The other piece is the partnership, your Lordship,
- B** has -- section box L is the debt. So if one party assigns itself -- represents that they are guaranteeing the debt vis-à-vis the bank, so the bank lends money and the person guaranteeing personally the liability, 4 million, is the respondent. This is incorrect, and has consequences ----
- C** MR JUSTICE MACDONALD: So that is what -- that is the other thing you are unhappy on?
- A. Two things, yes.
- Q. Thank you.
- A. So that gives him -- when he liquidated the assets in September and directed them to
- D** repay the mortgage, he paid this, therefore increasing his partnership interest. His percentage ownership in the partnership has now the credit of 4 million, as if it was him paying back the bank. And that should be equal. It has to be two and two.
- Q. I understand.
- E** A. Thank you. Thank you.
- MISS CAMPBELL: Mrs Zahmoul, you made an application for an English court to determine your ----
- A. Yes.
- F** Q. -- divorce financial remedy proceedings.
- A. On 24 January, 2020.
- Q. You wanted this court to decide how your assets should be shared between you and Mr Zahmoul. Is that correct?
- G** A. On 24 January, 2020.
- Q. You elected to have your divorce proceedings dealt with in England - yes or no?
- A. Where else? Where else? I lived here for 18 years.
- Q. Yes.
- H** A. Where else should I have ----
- Q. And so this court was empowered to make a decision whether to transfer assets between you ----
- A. Absolutely.
- Q. -- and him.
- A. Absolutely.
- Q. So this court knows that those properties are owned by you jointly. Is that true?

- A** A. Absolutely.
- Q. Yes. And this court has powers to determine who should get which of those properties ----
- A. Absolutely.
- B** Q. And how much equity.
- A. Absolutely.
- Q. Do you agree?
- A. Yes.
- C** Q. So it does not matter what is on the tax return, because this judge can make orders ----
- A. Okay.
- Q. -- as he sees fit. Do you agree with that statement?
- A. Absolutely not. Absolutely not. It does not matter what is on the tax return - I do not agree with that at all because that is what ----
- D** Q. No, that is not the question I asked you, Mrs Zahmoul.
- A. What ----
- Q. We have just stepped through the procedure. You wanted an English court to deal with
- E** your divorce. The English judge has power to make orders about the properties and the equity, and so it does not matter what is on the tax returns as far as your divorce is concerned. That is correct, is it not?
- A. Your Lordship, I filed -- I filed my first application on 24 January, 2020, with Withers,
- F** so, yes, I did elect to do it here because I have lived here since 2005. Yes, you can decide on the division of the properties. Does that mean that if I uncover a fraudulent activity, I need to sit tight and pray and find my back -- no. I am sorry really, I do not understand the mechanics of an LLC. I do not understand the -- I am by myself,
- G** particularly alone with no money. Most of the time my debit card is negative and I cannot get to Waitrose, and I have my two daughters, one of them needs a lot of care ----
- MR JUSTICE MACDONALD: I understand the position.
- H** A. Okay, I am sorry, I am being told basically just sit tight and pray.
- MISS CAMPBELL: Mrs Zahmoul, even in the United States of America, you and Mr Zahmoul share, through the LLCs, equal legal ownership to those two properties?
- A. No.
- Q. In title?
- A. No, no. I have just explained. One of the houses is direct. The LLCs are passed through ----

IN PRIVATE

- A** Q. Let us have a look at those titles. The 3100 property ----
A. Yes, it is true ----
Q. -- is owned by two LLCs, one of which you have 100% ----
A. Correct.
- B** Q. -- and the other of which Mr Zahmoul has ----
A. I repeat, it is a fast through. There is no problem with 3100.
Q. Yes.
A. It is the 3 ----
- C** Q. The other property is held by a single LLC ----
A. Yes.
Q. -- in which you and Mr Zahmoul are equal members?
A. So -- so ----
- D** Q. Is that true?
A. -- this is exactly what happened with the \$4 million of the debt. By representing to the Wyoming Secretary of State and the IRS that him, and him only, guarantees the recourse loan in Box L, he gets -- when he liquidated joint assets and sent them to Bank
- E** of Jackson Hole, he was the one who released the mortgage. So we are no longer 50/50, he has now given himself -- if he wanted to make me as 50, he would have sent the 4 million and divide them between the two of us as if -- as if the joint assets liquidated were benefit -- both of us were guarantors ----
- F** MR JUSTICE MACDONALD: I understand.
A. -- and he put himself as the only guarantor ----
MISS CAMPBELL: All right ----
A. -- so he was ----
- G** MR JUSTICE MACDONALD: You have already explained that.
A. Okay.
Q. And I understand it.
A. Thank you.
- H** MR JUSTICE MACDONALD: Miss Campbell, I have the point. Thank you.
MISS CAMPBELL: Although you and Mr Zahmoul disagree about whether that is important or not, you think it is and he thinks it is not ----
A. I am -- what are you asking ----
Q. I am asking a different question now.
A. Okay.

IN PRIVATE

- A** Q. In 2022 the tax returns were rectified to put them in the position that you wanted them to be in. That is true, is it not?
- A. What did I want? I wanted ----
- Q. Equal 50/50 shareholders or members of the LLC. That was rectified in 2022?
- B** A. No, no, they are -- no. Your Lordship, I am really sorry, this is a bit -- that is this com -- we are spending so much time on this. There are two issues. First, the mortgage at Bank of Jackson Hole is 5.782. It is a consolidated mortgage between the two properties. It needs to be 50% one property, 50% the other. So the first thing I disagree with, which the respondent did not even elaborate, is apply a factor of two thirds for one house and one third for the other. There is no reason for that. The bank never said that. The paperwork does not say that. The only reason is -- if the only consequence of that is that it discharges the entire capital account of the LLC so it gives one house that is debt free. So that is the first 50% I did not agree with. The second 50% is inside this house, the LLC, I wanted that the 4 million of recourse loan -- I wanted it divided in half and half. So the respondent is manipulating the language to say I satisfied one 50 if I needed both 50s. This one within the 3090 LLC is more important because that is the one that says he is the only guarantor of the 4 million and that is the one that he paid back by liquidating ----
- C**
- D**
- E** Q. Mrs Zahmoul ----
- A. Okay, it is on that ----
- F** Q. -- the contract you have with the mortgage company, the Bank of Jackson Hole ----
- A. Yes.
- Q. -- is that you were both equally liable for the mortgage. That is what it says.
- A. Yes.
- G** Q. Signed personally. You are both equally liable. So if the mortgage is paid down, it does not matter, as far as the Bank of Jackson Hole is concerned, who gets the benefit on the tax returns, because they want a single mortgage paid down by either of you or both the you?
- H** A. I don't care about Bank of Jackson Hole.
- Q. All right.
- A. I care about this partnership interest. That is what -- I care about the IRS and the Secretary of State of Wyoming. In terms of ownerships, I do not care about the bank. Ownership is defined by his partnership interest ----
- Q. Can you look in the bundle ----

IN PRIVATE

- A** A. -- and he increased it by allocating, unfairly and fraudulently, 4 million of joint assets as if he were the only guarantor. And, as you rightly said, we are both equal guarantors.
- Q. So we agree on that?
- A. Yes, but it does not help me from a legal ownership point of view.
- B** Q. All right. Can you look at 2531, please, in the bundle?
- A. Okay.
- MR JUSTICE MACDONALD: Sorry, Miss Campbell, what page number?
- MISS CAMPBELL: 2531.
- C** MR JUSTICE MACDONALD: 2531.
- MISS CAMPBELL: Now, if you see at 2531 ----
- MR JUSTICE MACDONALD: Mrs Zahmoul, just have a look at the document.
- MISS CAMPBELL: I am so sorry.
- D** MR JUSTICE MACDONALD: All right? Yes.
- MISS CAMPBELL: (To the witness): You can see there is a message ----
- A. Yes.
- Q. -- from Jeff Wilkinson ----
- E** A. Yes.
- Q. -- who is your CPA, your accountant and ----
- A. March
- Q. -- your tax adviser. Is that right?
- F** A. Yes.
- Q. Yes. If you look just below it at the bottom of 2531, you can see the email from Steve Smith, who is the CPA for Mr Zahmoul. That is right, is it not?
- A. Yes.
- G** Q. And in March 2022 Mr Zahmoul's adviser was trying to liaise with yours to deal with some tax information to rectify tax returns. In fact if you look at p.2532, you can trace where this comes from. So just look at 2532.
- A. Okay.
- H** Q. At that stage, 29 March 2022, your adviser writes to his adviser:

"Steve, I hope you are holding up in tax season. I am working on the '21 tax return for Nadia Zahmoul, and was hoping to get the following input from you."

And then he lists the information he wants. Then we have the letter which I have just taken you to at 2531. Steve Smith says:

IN PRIVATE

A "Hi, Jeff. We have not yet received info from Karim, but will follow up and call when we receive it. All the best."

That is March 2022. The message further up is a year later, March 2023. Mr Wilkinson writes to Steve:

B "My client has asked me not to communicate with anyone on her matters. She is suggesting that you contact her attorney."

C So you instructed your adviser not to talk to Mr Zahmoul's adviser about all of these tax issues that you were so concerned about?

A. That is -- that is incorrect. That is not -- that is not actually true. Is the -- is the March 30th response to March 29th of a year earlier? Is that what you are saying?

Q. No, I am saying that by March 2023 ----

D A. Yes.

Q. -- you instructed your adviser not to communicate with Mr Zahmoul's adviser.

A. That is not correct. Your Lordship ----

Q. Well, explain those ----

E A. I am going to. Your Lordship, I have very limited funds and I have to pull the plug when I am wasting -- when I have no money. Jeff Wilkinson is my CPA and I cannot pay people when we are going around gaslighting. It is impossible. So my CPA asked many times for an email that is not here, on November 6, 2021, the first time the
F respondent sent an email saying the mortgage is allocated two thirds one house and one third the other. I said no. They did it nonetheless even though I said no. They override my CPA ----

MR JUSTICE MACDONALD: So just ----

G A. Yes.

Q. Just come to the back to ----

A. It is ----

Q. Just come back to the document.

H A. The ----

Q. Is your answer that you sent that document because you did not have the money to pay your CPA?

A. No. No, your Lordship. My answer is ----

Q. Then just listen to the question.

A. Yes.

IN PRIVATE

- A** Q. Do you agree that on 30 March, 2023, or just before, you had instructed Jeff not to communicate with Steve?
- A. Well, the -- but not in response to that email. In response to -- I instructed Jeff not to speak on -- but not to that email.
- B** Q. Why did you instruct him ----
- A. Because -- because they were -- when someone pretends they don't understand you and they do, then at the end, you -- what is the point of carrying on? Because we -- because Jeff said for three years: "We would like to -- we would like the -- we would like the mortgage 50/50 and we would like the mortgage application and we also don't want you to take 4 million on one side, we need 2 and 2". And they were ignoring him for three years. So I cannot keep answering when the answer ignores your request.
- C** Q. Thank you.
- A. That is the point.
- D** Q. Right. Listen to the next question.
- MISS CAMPBELL: Do you accept that the US pensions can be shared between you and Mr Zahmoul easily?
- E** A. Which one and how much?
- Q. The two US pensions ----
- A. Goldman Sachs and Deutsche Bank. Okay.
- Q. If you have a look at that, please ----
- F** A. Yes -- yes and no. I do not know, we did not -- that is -- you should get the memo of August 10, 2021, please.
- Q. No. Mrs Zahmoul, if you look at the ES2 which I gave to you from your counsel -- Mr Molyneux handed that document up for me. If you look at the bottom ----
- G** A. Yes.
- Q. -- on the front page you can see it lists some pensions. It is down near the bottom of the schedule.
- A. Yes, yes.
- H** Q. And there are pensions owned by -- it says "husband", and we can see Fidelity, Goldman, Trirene(?) ----
- A. Okay.
- Q. -- RBC -- RBCC. Now, the US pension, the Goldman Sachs 401 fund, that can be shared and a transfer can be made to you so that you get half of all the US pensions. Do you accept that?

IN PRIVATE

- A** A. The memo is -- we -- okay. The memo of my CPA answering the question about what is the impact on tax -- on the tax position if the -- if the US pensions of the respondent are shared ----
- MR JUSTICE MACDONALD: Let us just start at the beginning ----
- B** A. I do not remember ----
- Q. Let us start at the beginning. All right? The question is ----
- A. Yes, do I accept that ----
- Q. The big overarching question is: do you accept they can be shared?
- C** A. The answer is on August 10 2021 -- it is com -- there is a cross -- there is a -- there is -- there is a liability, and I forgot the name of it ----
- Q. All right. Well, just come back to the overarching question ----
- A. Overarching ----
- D** Q. -- as a matter of principle ----
- A. -- they are sharable with a tax -- with a tax -- with a tax consequence.
- MISS CAMPBELL: Thank you.
- A. And I forgot the name of that tax.
- E** MR JUSTICE MACDONALD: All right. Okay. Well, let us just get to the next question Miss Campbell has. All right?
- MISS CAMPBELL: Now, do you -- or did you agree that the Barclays pensions, as they were formulated before, the RBCCs, could not be shared because of the type of
- F** pensions they were? As they stood, it was not possible ----
- A. No.
- Q. -- to share those?
- A. I am sorry, I did not agree.
- G** Q. Okay. Well, Withers wrote on 17 September 2021, and they said that the Barclays pensions could not be shared. That is what your solicitor said.
- A. Okay.
- Q. There was a problem with that.
- H** A. Okay. For what reason? It is very technical so if they could not be shared there is -- he has two, IPP1 and IPP2, so which one and for what reason? That is why they were ----
- Q. Do you think they could be shared or not?
- A. I don't know. That is a very specialised area. I would never there have an opinion.
- Q. So Mr Zahmoul got quite a lot of tax advice and pensions advice to explain that his advisers told him the Barclays pension was not capable of being shared. That is what he was told.

- A** A. Your Lordship, the pension is just as convoluted as the taxes, so I am going -- I have a timeline of he said/she said and the correspondence, so for the benefit of the court I will explain. The advice that the respondent shared with me and my solicitors was deficient all throughout the four years. The advice that he sent on was sent to me on April 20 --
- B** on April -- April 18 or 17 2022, when I did not have any legal representation, to my address, and the link on April 17 was below. I only pressed the link in September. But so in April he had already executed 100 pages of contract to transfer the pensions to Malta. The discussions with Nick Warr when I still had funding with Taylor Wessing
- C** and with Withers was -- were a dead end. I think in August they were dead. So when the -- at the LSPO review, your Lordship, the respondent knew that he had already executed the shares transfer to Malta. He knew it but did not say it. Then when you issued an order asking us to discuss the pensions and he replied to that order on 26 July
- D** 2023, he knew the pensions were already executed to go to Malta but did not say it. In September at a hearing we had, he knew but did not say it. It is later at the September 7th that he said he executed in July. Not true, he executed, only 100 pages, April 17th. It takes a long time and legal hurdles to go. So in April everything was done unilaterally.
- E** At that stage in April, I had not agreed. I still don't. I had never received the documentation that Withers and Taylor asked for, and the negotiations with Taylor Wessing went dead because he takes the conversation without the -- without asking for approval that he -- the discussions. So ----
- F** Q. Mrs Zahmoul ----
- A. -- at the process I have never had -- or my team had never had advice that they asked for or that was sufficient to approve the transfer to Malta, which Taylor Wessing called a mind cheat(?).
- G** Q. Could you have a look in the bundle at p.4241, please? This is the initial advice that Mr Zahmoul presented to you and your lawyers back in 2021 explaining about the Portuguese position, the tax position. Can you see that?
- A. Yes.
- H** MR JUSTICE MACDONALD: Just let us ----
- MISS CAMPBELL: Oh, sorry.
- MR JUSTICE MACDONALD: Just have a look at the document.
- A. About keeping the taxes in Portugal?
- MISS CAMPBELL: Let us have a look at the document.
- A. Thank you. Oh.
- MR JUSTICE MACDONALD: Can you see that?

- A. Yes, absolutely, yes.
- Q. All right. Just have a look at it.
- A. Yes.
- MISS CAMPBELL: You will see that your lawyers were asking these three questions, and
- effectively Mr Zahmoul asked the Portuguese advisers to answer your lawyers' questions. Can you see that at 4241?
- A. Yes.
- Q.
- "Your wife's lawyers have raised the following questions regarding the Portuguese tax regime. The first question is the tax position from a Portuguese perspective if H were to transfer any assets outside Portugal to you as a consequence of the divorce."
- And that is about capital gains.
- A. Yes.
- Q. The next question:
- "Can he confirm whether there is a time limit in which the Portuguese tax authorities can investigate the position, and (3) whether a lump sum distribution from your IPP2 is tax-free or whether subject to tax."
- Those were the questions your lawyers were asking - yes?
- A. Yes.
- Q. And then they say: "Here is our analysis", and what follows - I am going to take you through it - is a detailed analysis of those three questions. Do you agree that is what it is? You might not accept what they say, but they have tried to answer the questions.
- Can you agree with me that that is what they have done?
- A. I accept this is a memo from ILYA.
- Q. Yes. And if you have a look at 4028, please.
- A. Are we done with the ----
- Q. Yes.
- A. Okay.
- Q. I am trying to show you the information that has been provided.
- A. I am sorry. You agree there are a lot of computations, right, and I think we should keep it because ----
- Q. Mrs Zahmoul, I am sorry ----
- A. Okay.

IN PRIVATE

- A** Q. -- the question I asked you was they were attempting to answer the questions that your lawyers had asked. Do you agree?
- B** A. I am sorry, one second. So let me just -- let me just see that, okay? Okay. So, your Lordship, the memo is giving an overarching theoretical but not computational answer, and it is also extremely deficient that we can only see this later. So I bring your -- for the purpose of the court, I bring your attention to where the deficiency is. It is saying basically -- I know this. It is saying basically if you are -- if this is a division of assets as part of the divorce and you share ----
- C** MR JUSTICE MACDONALD: Well, where do you say the deficiency is? Help me with where it is.
- D** A. Yes, I will. So, number one, if you were to transfer assets outside of Portugal and pursue it to the divorce, in p.4242, does this create any taxes? And you see a mere transfer of foreign assets from one spouse to the other is not taxable in Portugal. So now if you go to the assets schedule of respondent, you can see that he has put taxes everywhere, and you ask yourself: why? Why?
- E** Q. No, sorry, I am concentrating on why you say this document ----
- A. Yes, it is ----
- Q. -- which Ms Campbell has taken you to, is deficient. What do you say is deficient about it?
- A. So the document, I -- okay, so it says if you transfer overseas it is not taxable in Portugal.
- F** Q. Yes.
- A. So then why -- it is not -- it is inconsistent with how it has been applied to the assets schedule ----
- G** Q. That is different.
- A. There is a deficiency, and I am getting there. And then it goes if the spouse agrees to give the other spouse more assets, if one gets more than the other, and there is a sale, so in case of divestiture of the assets, then this becomes a taxable event in Portugal. So if
- H** he did have more, then what he had, there is a stay, that I did not -- I am not sure what that means. I am really not sure. Maybe Miss Campbell does. In this scenario if the husband says the assets to the wife as part of the agreement, this will give rise to a taxable event. I do not think we are doing that. And then in his regime, it is called NHR, non-habitual resident, capital gains on any assets that are taxable under a relevant tax treaty. This is very relevant because he has a US/Portuguese tax treaty. I am not an expert, but that is also a source of problems because he did not disclose to the US what

- A** he did -- what he did on the tax return of Portugal, and I hope we will get there. And so he has done -- the memo talks about the real estate and there will be no conseq -- or there will be if -- okay. He talks about real estate not consequence, but if he -- if there is a sale of US -- the sale of US stocks is taxed in Portugal at 28%. So instead of saying
- B** deficient, I would probably say ----
- Q. Well, so ----
- A. I would say it is very helpful ----
- Q. Can I -- sorry, instead of saying deficient, you would say?
- C** A. It is very helpful because this is the opposite of what has been done on the asset schedule and ----
- MISS CAMPBELL: Are you saying that you did not agree with the content of the ----
- A. Miss Campbell, I cannot pretend -- no, that is not what I am saying. I am saying I am
- D** not a tax expert and I am not a tax expert on Portugal. I am trying my best.
- Q. Yes.
- A. So I can go point by point, you know, just scan through ----
- Q. But I am not going to be asking you that question, Mrs Zahmoul. I am trying to
- E** understand, and the question I am asking you to address is this. Your lawyers asked specific questions, and Mr Zahmoul paid advisers to answer those specific questions. Do we agree on that?
- A. And I told -- your Lordship ----
- F** Q. Is that a yes or a no?
- A. Your Lordship, this is -- these questions are theoretical and they are over -- they are ----
- Q. They are questions your lawyers asked ----
- A. -- overarching ----
- G** MR JUSTICE MACDONALD: Miss Campbell, I think ----
- THE WITNESS: They are overarching and theoretical.
- MR JUSTICE MACDONALD: Just pause and sit down. I think I can take notice, Miss
- H** Campbell, of that fact, unless Mr Molyneux seeks to persuade me otherwise. Mrs Zahmoul has been in the witness box now for some time. It is clear, it seems to me, that there will be some time to go, and I think in those circumstances, I am now going to rise for the lunchtime adjournment. Just before I do, I should say that I have been notified that there is a protest under way in the main hall, and we have all been advised to stay away from that area and I would advise you all to follow that advice. Yes. Thank you all very much.
- MISS CAMPBELL: Thank you.

A

(Adjourned for a short time)

B

MR JUSTICE MACDONALD: Mrs Zahmoul, you remain under oath. All right?

A. Yes.

Q. Okay. If you want a break at any point during the afternoon, let me know.

A. Yes.

Q. Okay?

C

A. Yes.

MR JUSTICE MACDONALD: Yes, Miss Campbell.

MISS CAMPBELL: Thank you very much, my Lord. (To the witness): Mrs Zahmoul, will you turn in the bundle, please, to 4028? I am still asking you questions about pensions, but just so you can place this, it is only fair to show you at 4026 you can see the beginning of the document, so you can place it. And at 4026 it is a letter from Mr Zahmoul's lawyers to yours, dated 3 February, 2022. Do you have that?

D

A. (No audible response)

E

Q. Just so you know where in time we are. And Mr Zahmoul's solicitors are making an open proposal on how they want to deal with the case, and effectively they are saying split everything, and you can see, if you look at 4027, they are talking about how to share the investment properties. Over at 4028 talking about sharing out the crypto assets, Coinbase, the private equity. Then do you see para.18, it talks about pensions, and it talks about equalisation of the US pension, which is what we talked about previously. Then over on to p.4029, at the bottom of that little section above "education fund", it says -- it is talking about how you can share the Jersey pensions, but it says this:

G

"Alternatively, my client is considering transferring the pensions to trustees in Malta as he is not content with the service provided by the current trustees. He has been informed that the Barclays pension would be able to be divided in specie following this. This would be preferable so that the funds are in your client's hands rather than seeing ongoing payments."

H

So in February 2022, Mr Zahmoul was suggesting to you that he moves the pension, the Barclays pension over to Malta ----

A. Yes.

Q. -- where it could be divided?

IN PRIVATE

- A** A. Absolutely.
- Q. And he has been told that that could be divided without any difficulty in Malta, and the subject of a UK pensions sharing order.
- A. Sorry, "to a share in specie following" -- yes, okay. I do not see it is subject to a UK
- B** sharing order but I see ----
- Q. All right.
- A. -- in specie.
- Q. Have a look at 4295.
- C** A. 4295?
- Q. 4295.
- A. Okay. It should be here.
- Q. He was told that he could share the pension, and this is the advice he was given that was
- D** sent to your lawyers on 1 April. It is not dated but, trust me, it was 1 April.
- A. Which year?
- Q. '22, so ----
- A. No, no, it is 26 July 2022, so when was it sent to us?
- E** Q. Sorry. This was sent to your solicitors, and it actually went to them on 7 July '22 ----
- A. No, no ----
- Q. -- dated April '22 ----
- A. No, this is dated 26 July 2022. When was it sent to me?
- F** Q. I am sorry, maybe we are at cross-purposes. What document are you talking about?
- A. Okay. You are talking about Adsen?
- Q. Yes.
- A. Okay. So one second, please. Pension transfer -- there is no date on the first page.
- G** Q. That is right.
- A. And none on the bottom. So, I am sorry, please guide me to the document you are talking about.
- MR JUSTICE MACDONALD: That is the document you have got there.
- H** A. Yes, yes.
- Q. All right? That is the one we are looking at.
- A. Which date is -- okay.
- MISS CAMPBELL: I am told ----
- A. This is part of the package, the 100 parts of it.
- Q. I am told this date is 1 April '22, but you are right, there is no date on it. It does not really matter except that what does matter is that your solicitors were sent it, as I

IN PRIVATE

- A** understand it, on the -- well, certainly they responded -- let me just see if I can find the exact reference to it. (After a pause) Let me see if I can find the document. (After a pause) What I can show is where it is referred to by the court, because I have struggled to find the date on it ----
- B** A. I am sorry, this package was sent three times.
Q. Yes.
A. The first time on 7 -- 20 -- 17 or 18 -- 24 April, exhibit 17 of April 2022. The second time ----
- C** Q. Sorry, which year? I cannot hear which year. '22? If we are agreed about '22, that is fine.
A. No, no. This is a package of 100 pages. It was sent three times - April '23, June '23 and again September '23.
- D** Q. Okay. So we are -- we do have a dispute then. I understand that it was sent to you in 2022.
A. Maybe. Which one? Because the 100 pages ----
Q. The one you are looking at.
- E** A. One of them was, and it was -- we responded "not enough information because we would like" ----
Q. We have just looked at the document, so we can agree the date, and I am just trying to narrow it down because ----
- F** A. Maybe -- I would -- I know which one ----
Q. -- it is unhelpful to you, I recognise ----
A. One was sent on April 2 2022 to HFC, and I know it.
Q. Okay.
- G** A. The answer, your Lordship, taxes -- his pension is 2.8 million sterling. It is complex. One is IPP1, the other is IPP2, of which he has withdrawn 215 ----
Q. I am sorry, Mrs Zahmoul, but I am going to interrupt you because all I am trying to understand ----
- H** A. Okay.
Q. -- is the date that this document was sent to you.
A. 2 April 2022.
Q. Okay. There we are ----
A. And ----
MR JUSTICE MACDONALD: Just wait for the next question.
A. I am not sure it is this one, but whatever was sent in April 2022 ----

IN PRIVATE

- A** MISS CAMPBELL: I am told ----
- A. -- was not enough. Why? Because it did not say it was not ----
- Q. Mrs Zahmoul, again, I am really sorry to interrupt you.
- A. Of course.
- B** Q. What I am trying to do is identify a timeline ----
- A. Me too. I have done it.
- Q. -- so that we can see ----
- A. I did ----
- C** Q. -- because you may know -- because I do not know and the judge does not know. So I have ----
- A. (Inaudible) ----
- Q. -- to go through the documents so the judge can consider ----
- D** A. But I know it by rote. I know all of it.
- Q. As I have said, unfortunately, the important person who he needs to understand the documents is the judge ----
- A. Sure, sure.
- E** Q. -- and so I need to take you and him to the ----
- A. It took me 16 hours to do ----
- MR JUSTICE MACDONALD: Mr Zahmoul ----
- A. Yes.
- F** Q. -- I need to come to a considered decision at the end of this trial ----
- A. Yes, and ----
- Q. -- about what should happen. All right?
- A. And ----
- G** Q. And I therefore need to understand ----
- A. Okay.
- Q. -- for myself ----
- A. Yes.
- H** Q. -- what I know you live and breathe ----
- A. I have the timeline. It is really ----
- Q. Okay. But what I need to you to do ----
- A. Yes.
- Q. -- is listen to the question you are being asked ----
- A. Yes.
- Q. -- and then answer that question. All right?

IN PRIVATE

- A** A. I -- I ----
Q. Okay, so ----
A. I am trying to help the court ----
Q. I know you are and you are doing a great job at it, but I do need you to listen carefully to
- B** the question and answer it. All right?
MISS CAMPBELL: My instructions are Mr Zahmoul has got a document which shows this document being sent to him on 26 March. I understood from the chronology that it went to your solicitors on 1 April 2022, but you have corrected me it was 2 April.
- C** A. I know that that time ----
Q. That is fine, and we can move on from there. You can see that this is a transfer recommendation. It talks about splitting a pension between spouses, and this is from advisers that Mr Zahmoul paid for, called Adsen Moore.
- D** A. I (inaudible).
Q. And we can just flick through the documents. It is a couple of pages long. Do you see that?
A. (No audible response)
- E** Q. And then have a look at 4293. This is a document sent to my client. Again, we can see the timeline, February '22. This is talking about the pension sharing in Malta ----
A. I am really sorry. This is when your client received it. Do you know when I received it?
- F** Q. No, I cannot answer that.
A. Okay.
Q. But I just want to have a look at this so that you can see ----
A. I can tell you when I did, April 20 -- April 24 2022. That is when ----
- G** Q. You saw this document, okay.
A. It -- the -- yes.
Q. It is not ----
A. If it was part of the 100-page page package, which I only saw the link four months later
- H** in September when ----
Q. We know you saw the pension advice in April 2022, because we have just looked at it, and you agreed with me that it came -- I thought 1 April but you said 2 April?
A. It was 2nd, yes, and you ----
Q. And I am showing you this document because this was explaining to my client -- it is not addressed to you. You may not have ever seen this, as far as ----
A. Yes.

- A** Q. -- I understand. It explains to my client that pension sharing in Malta can be executed, and that means that the pensions can be split, and it explains that for a US resident the matter -- the double treaty alliance between Malta and the US is very favourable and would allow for a number of tax-free withdrawals. Now, that was going to my client,
- B** not you.
- A. Exactly.
- Q. I am just showing you the documents in 2022. Then have a look at 4294, so over the page. This is later. This is in July 2022. Information about the effect of these transfers
- C** and what happens on the tax. Do you ----
- A. Do you know when I get this?
- Q. When did you get this?
- A. September 9 2022.
- D** Q. Okay.
- A. And do you know what happened after that?
- Q. No, I just want to know the date you got it. That is ----
- A. September 15, your client liquidated \$4 million, sent them to pay the mortgage ----
- E** Q. I am sorry ----
- A. -- September 26 ----
- MR JUSTICE MACDONALD: Mr Zahmoul, please to the question ----
- A. Yes. Yes, your Lordship. I am really sorry. I am sorry.
- F** Q. -- and answer the question.
- A. And then we replied ----
- MISS CAMPBELL: You saw this document, Mrs Zahmoul ----
- A. We replied ----
- G** Q. -- and I think you answered -- you offered the date in September 2022 - is that right?
- A. And the -- there was a reclaim.
- Q. Okay.
- A. But we skipped the reply.
- H** Q. So we have here the tax advice. Now, I ----
- A. No, I am really sorry. Can I -- can you ask me the question, if we have here the tax advice?
- Q. Well, we have some details that Mr Zahmoul is putting forward about the incidence of ----
- A. It was not accepted as tax advice.
- Q. You did not accept it?

IN PRIVATE

- A** A. No, absolutely not.
Q. Okay.
A. And I ----
Q. I understand your position, Mrs Zahmoul, and please ----
- B** A. I am not an expert on pensions ----
Q. I know.
A. -- they are very complex. It was -- unless you agree this is tax -- or the court thinks this
- C** as tax advice on pension sharing, Nick Warr and Taylor Wessing, your Lordship,
having insisted all the way to the end, even after the respondent taped the conversation
of August 2 2023 and consider the transcript of the one-hour conversation, and Taylor
Wessing wrote a memo, sent the transcript and terminated everything because it was
going circular and there were even exchanges between Taylor Wessing and the
- D** respondent all the way until the November hearing. And none of the advice on the
pensions was sufficient nor accurate ----
Q. All right. So there we are. You ----
A. But the problem is that the advice was available, but it was not shared.
- E** MR JUSTICE MACDONALD: Listen to the question.
MISS CAMPBELL: You were not at all impressed with this advice, you did not think it was
good and you were not happy with it?
A. This is outside my area.
- F** Q. All right, but your advisers were not happy on your behalf?
A. Yes.
Q. Okay. I understand that.
A. Yes.
- G** Q. And so if you look at the first bundle, 341, with the court orders in it, you will see where
we were by November '22.
A. Yes.
Q. And this is the order that was made ----
- H** A. 25 ----
Q. -- by his Lordship ----
A. Okay.
Q. -- and he was aware that the pension issue was still at large. And if you have a look at
para.8.
A. I will.

- A** Q. You had complained that the pension evidence was not good enough, you were not happy with it, and it was not complete, or that you were not content. So what his Lordship ordered was for my client, by 8 December, to state -- sorry, for you to state by 8 December whether you agreed with the pension advice of Adsen Moore, dated April
- B** 2022, that his Jersey pension arrangements could be shared in Malta. Then it says, in para.9, if there is a dispute about shareability of the respondent's Jersey pension arrangements in Malta, and either party seeks to rely on expert evidence, you shall apply effectively under Part 18 and Part 25. And also, at para.10, if there is a dispute
- C** about the tax consequences of sharing, then an expert shall be appointed. So what the judge was saying to you, if you do not agree with what the husband had said, what Mr Zahmoul had said, you can get an expert who can inform the court of the correct answers. Do you agree that that is what the judge was asking to be done?
- D** A. I completely understand the point.
Q. Thank you. And he wanted that done timely so that we would have dates ----
A. Absolutely.
Q. -- to understand -- and you were asked to do this by 8 December. Okay?
- E** A. Absolutely.
Q. We have agreed that in the order?
A. Yes.
Q. And you did not, did you?
- F** A. So is this a question?
Q. Yes.
A. Okay, the ----
Q. You did not respond to the advice of Adsen Moore on 8 December as directed?
- G** A. Your Lordship, this is Family Court, it is not commercial. I am not an expert on pensions, so I need to give some context to the answer, otherwise it is crucification. I mean the context is we arrived to your court from Bristol court, and in September a sequence of events is such that the case was -- fell apart. So my -- the new team joined
- H** one day before. Rebecca Carew Pole KC was on top of the situation. By the time we saw you on November 17 2022, you issued a directions order, we got stalled on freezing orders and funding. I was with Burgess Mee. The entire conversation was about the restructuring and liquidation of \$4 million, about how I was going to pay and how I was going to get funded. Between your first -- the first hearing with you in November until, I recollect, September of the following year, my entire legal fee was spent on figuring out funding. That is all we did. Burgess Mee spent all that money figuring out funding.

A What they thought was an arrangement at the hearing for funding was not, and then -- that is the truth. My fees went to pay funding costs. Therefore I am incapable of giving -- shedding any light on whether I agreed or not. At that time, Withers, the whole correspondence was gone. Taylor Wessing were gone. And I am not -- it is too

B complex for me. It is not my area of expertise. I cannot -- I cannot -- I cannot even pick an expert. I would not know where to start. Burgess Mee told the respondent: "We are doing nothing except funding -- until funding is sorted", and you will see between November and September of the following year, that -- all that was done was

C kind of not very good quality because it was done -- which we did not know this is -- this is the consequences of having to go through three different lawyers and starting all over again and losing all the antecedent knowledge.

Q. All right. So you said, effectively, you did not have the funds to get the advice to deal with that ----

A. No. No. I said, effectively, I am not an expert in pensions. I was -- I am not even able to find an expert, and that everything stalled because of funding.

Q. All right. In March 2023 we came back to this court. Have a look in the bundle at 38 ----

A. Yes, I do not need to because I represented myself.

MR JUSTICE MACDONALD: Well, I am going to have the page turned up for you, so you have got it there.

A. Thank you. Thank you.

MISS CAMPBELL: This is now on 1 March 2023, and if you look there, para.5, which is on the previous page, talks about tax. Then para.7:

"You shall, by no later than 4.00 p.m. on 31 March, state whether you would agree with his advice."

Now, did you even send a letter to say you agreed or did not agree?

A. This is the court order pursuant to the March 1, 2023?

Q. That is right.

A. That his Lordship published on March 6 2023. And you are asking me if I complied with this order?

Q. All right, did you ----

A. No, I ----

Q. -- comply with this a little bit later?

IN PRIVATE

- A** A. I am sorry, the court knows this already. No, the only thing I was able to do on my own with one girl in GCSEs and another in A-level with special needs, was actually to just write the LSPO application by myself, and deal with the April -- the April events. There were many events in April but, I mean, I did -- did ----
- B** Q. Okay. Well, we know ----
- A. And I managed to do the LSPO application and the D11 by April 20. That was three weeks late. And then after that I wrote to his Lordship to say I got a unilateral email from the respondent saying he is moving the pensions without asking any permission. I
- C** forwarded it to his Lordship and attached the email, and then after that I filed a D11 by myself on 27 April 2023, to say there is -- the Wyoming situation needs to be looked at and -- and ----
- Q. Mrs Zahmoul, we know ----
- D** A. -- that (inaudible) to do for myself.
- Q. So on 30 June 2023, a LSPO order was made ----
- A. Yes.
- Q. -- which provided you with significant funds to pay your lawyers, to get advice and to
- E** carry out the orders, because his Lordship was worried ----
- A. Yes.
- Q. -- that these orders were not being dealt with.
- A. I agree.
- F** Q. You agree?
- A. Agree.
- Q. But after 30 June, 2023, when you had funding and you had a legal team on board, did you respond to the letter or to the advice from Adsen Moore and say whether you
- G** agreed or not?
- A. You realise that at that date he had -- your client had already executed in April, right ----
- Q. I am ----
- A. -- and did not tell the court ----
- H** MR JUSTICE MACDONALD: Mrs Zahmoul ----
- A. Okay.
- Q. -- listen to the question ----
- A. I am sorry.
- Q. All right.
- A. Yes. Did I, upon receiving the LSPO -- so first I moved from one lawyer to another and then I think the court closed -- did I respond?

- A** MISS CAMPBELL: It might help if you look at p.560.
- A.** What I do remember, your Lordship, is that we were trying to re-timetable the orders which the lawyers and the respondent who was representing himself (inaudible) each page.
- B** **Q.** On 7 September his Lordship gave orders to try and sort out of difficulties about the pension ----
- MR JUSTICE MACDONALD: Just look at what you have got there.
- MISS CAMPBELL: Page 560 ----
- C** **A.** On which page?
- Q.** The date is 7 September '23.
- A.** Yes, so there was a hearing then - yes?
- Q.** That is right, and this is his Lordship's order. You can see it at p.560, para.12 deals with pensions. Again, Mr Zahmoul was ordered by 6 October to provide disclosure in relation to the pension scheme, including the steps he has taken to transfer his pensions and the advice he relied upon. Then at 12.2:
- D**
- E** "In the event there is a dispute as to the shareability of the pension, either party may seek to apply for an expert."
- It then says, at 12.3, that you shall, by no later than 4.00 p.m. on 13 October, 2023, state whether you agree with the advice given. Did you send a letter confirming whether you agreed or saying that you did not agree, in accordance with that order?
- F** **A.** No, because on that day of the hearing, the respondent announced, either at the hearing or immediately after or before, that he had already moved it. He presented that he had executed the transfer around that time, and then by the bundle which is -- it says void, void, void, 100 pages. One of the pages is sent 24 July 2023, but the bottom line, it is a void bundle. The real bundle is the one he executed and sent to me with a very small link. We are still going back to the same thing, the original bundle is 20 -- 17th ----
- G** **Q.** Mrs Zahmoul, you had lawyers acting for you.
- H** **A.** I am really sorry, I ----
- Q.** There was a court order. I am trying to understand a simple question. Did you provide a response to the advice of Adsen Moore, which you had had since April 2022, in accordance with his Lordship's order?
- A.** I am really sorry this is very dissonant to you, because on that date he said he had -- he said he had already moved them, and you are asking me if I approved -- if I had -- this is -- it is not coherent ----

IN PRIVATE

- A** Q. I am asking if you obeyed his Lordship's order.
A. Your Lordship, I don't know what to say. He had already moved them since April ----
MR JUSTICE MACDONALD: Just focus ----
A. -- and I don't ----
- B** Q. Just focus on the question.
A. Did -- did ----
Q. Did you obey the order or not?
A. The order to ----
- C** Q. At 12.3 ----
A. By -- by 30?
Q. Yes.
A. So he can represent that -- please could you find out when the -- when the respondent
- D** told you that he had ----
Q. Mrs Zahmoul, just pause a moment.
A. He did ----
Q. Can you just pause a moment? I understand this is really difficult. Okay? And I
- E** understand there is a huge amount of information in your head - all right? -----
A. Yes.
Q. -- about the case, and it all -- and you want it all to come out. All right? Okay. So let
us just pause. Okay?
- F** A. What -- what ----
Q. Let us just concentrate on the question.
A. I understand the question.
Q. I know you understand the question. So what is your answer to the question?
- G** A. Did I obey?
Q. Yes.
A. Did I obey the court order?
Q. Yes.
- H** A. To respond to an advice which I have never -- not read by October 30, and to which the
respondent himself had already unilaterally executed the move for which the advice was
needed, seven months prior, I think, and so -- and to which he formerly told the court
and you that in September 17 when he finally said it, the answer is no, for obvious
reasons.
Q. Okay ----
A. And this is a very disturbing question. So the answer is no.

IN PRIVATE

- A** Q. Okay. Thank you very much. Are you all right? Or would you like a break?
A. No, I don't want a break. I am fine. The questions are (inaudible).
Q. Thank you.
A. I can -- I can do this. I am doing my best.
- B** Q. Okay.
A. I really want to help the court because I really want to -- I really ----
Q. All right. Just pause then.
A. Yes.
- C** Q. And I am going to get Miss Campbell to ask her next question.
A. No problem.
Q. All right?
A. Yes.
- D** Q. Okay.
MISS CAMPBELL: Mr Molyneux -- I am going to bring this to a swifter conclusion ----
A. No, no, no, no, I ----
Q. On 21 ----
- E** A. -- really want to help the court get -- to get this case ----
Q. On 21 November ----
A. Which year?
Q. -- solicitors on your behalf ----
- F** A. Which year? Which year?
Q. Last year. 21 November, 2023 -- did respond. They said -- your lawyers wrote on 21 November and said they did not accept the advice. So not by 13 October, not by 8 November, which was the next order.
- G** A. Yes.
Q. If we look at 593, you were again ordered to do it because you still had not responded ----
A. So your point is it is cumulatively late in responding with -- okay.
- H** Q. My point, Mrs Zahmoul, so I can make it, is that you ignore the court orders ----
A. Absolutely not.
Q. -- and you do what you want ----
A. That is not true.
Q. -- when you want to.
A. No. Your Lordship, I am not a barrister, I am not a lawyer, so the only thing I can do is use my head and tell the truth. I do not -- I am extremely sorry if it ever appeared that I

IN PRIVATE

- A lacked respect, but I am allocating the resources that I have, which are scarce, to what I can do that helps the court, and what I can do by myself without help. And in priority of emergency and sometimes -- or money which ----
- Q. You had £2.7 million worth of help, Mrs Zahmoul.
- B A. I wish to dissect them because that ----
- Q. So let us get to the point Mr Molyneux helpfully brought to my attention. On 21 November your lawyers said on your behalf you do not accept the advice about ----
- A. That is obvious because we did not (inaudible).
- C Q. So are you now saying to his Lordship that it is your case that the pension cannot be shared in Malta?
- A. No.
- Q. Is that what you are saying?
- D A. No. No, I am really sorry. No, that is not what I said, Miss Campbell. What I am saying, your Lordship, is that the pensions were transferred before I had -- before the information requested was provided and before anyone on my side was able to ponder on it and discuss it. We never received satisfactory information. As you can see, 100
- E pages were filed three times -- in 100 pages, and never what was asked in order to assess the tax consequences of the pensions moving to Malta or being shared in any other jurisdiction was received and analysed properly. That is what I am saying.
- Q. Do you now accept that the pension can be shared ----
- F A. No, I still have not analysed them. I have not had ----
- Q. You still do not accept ----
- A. No, no. I am sorry, no. I still -- what I do not -- I still have not had an ex -- well, number one, it is *post facto* so I do not -- I do not allocate resources to an event that is
- G *post facto* ----
- Q. You just touched on the answer when you said: "I have not had an expert", but you had been given three opportunities in the orders we have just looked at to get an expert, and you never elected to do so.
- H A. That is not correct. I am really sorry. This is factually incorrect. Your Lordship, it is worth noting one more time that the execution order was April 24, 2023. The signature to move to 2.8 million was on April 24 2023. If I am wrong, please prove me wrong. Everything else is a show ----
- Q. Can I ask you a new topic ----
- A. Every -- so everything else is a show. And your client announced verbally, orally, I don't remember, September 7 - right? And you are asking me if I complied with an

- A order *post facto*. Now, I do not have resources to allocate to *post facto* movement of assets.
- Q. Mr Zahmoul told you that he was planning on moving the pension ----
- A. That is correct. I know, April ----
- B Q. You will see the letter from his solicitors ----
- A. April ---
- Q. -- in February 2022. We looked at the document.
- A. Yes.
- C Q. 4295.
- A. Yes, I saw.
- Q. So you knew from February 2022 that was his plan. He wrote to you again in October 2022 to tell you this, and he wrote to you on 8 December, 2022 to tell you this.
- D A. And on 18 April, right, because he executed on the 17th, he wrote to me on the 18th, and then I forwarded to the court. So that on every instance that he said he was planning, the feedback from my solicitors were: "Yes, can we please have a detailed tax analysis?", and the last time this was discussed was August 8 with Taylor Wessing, or
- E August 2nd, yes, the one with the transcript where he taped the conversation, and you can read the transcript. Nothing was agreed because he did not provide any tax documentation -- tax documentation, tax analysis of the consequences of moving the pensions to Malta. So you can say more dates if you wish, the result is the same. If we
- F are waiting for tax analysis and it is not provided, we can go on until 20 more years forward. The result was he did ----
- Q. But it would not have been that much easier, Mrs Zahmoul, if Mr Zahmoul put his position in writing, which we have seen him do several times in relation to tax and in
- G relation to pension -- would it not be so much easier if you just put your views in writing?
- A. I know, this is a (inaudible). Okay. So you are asking me to -- this is like a -- me giving you colour on the taxes when I do not own the asset. So, your Lordship, Miss Campbell
- H is asking me to put my views ----
- MR JUSTICE MACDONALD: No, no. Let us just be sure ----
- A. I can -- I can ----
- Q. Let us just be sure what Miss Campbell's question is. It is a very simple question.
- A. Yes.
- Q. And the question is, would it not have been simpler if Karim had put his position on tax -- on pensions ----

IN PRIVATE

- A** A. Yes, yes.
Q. -- and indeed on taxes ----
A. Yes.
Q. -- and you had put your position on pensions and taxes, and then the court could decide?
- B** A. Well, that is a duplication of costs, number one. It would have been put: "You are duplicating costs to analyse the same thing". You are analysing once what are tax consequences of moving 2.8 million of IPPs to Malta. Number one. And, number two, do we know -- even know if Karim -- if the respondent has a detailed tax position? I
- C** have 100 pages but I still do not have -- well, I am not a tax expert. So, yes, it would have been probably solution, but I have to be very careful how I -- how I allocate. That would not guarantee a resolution.
Q. I see.
- D** A. That is ----
MISS CAMPBELL: Can we look at something that is a little more straightforward? Because I understand pensions and tax is complicated. If you borrow money from your family, that is quite straightforward, is it not? If your father lends you money, you do not need an adviser to talk to you about that. He either lends you money or he does not. Or he gives you money. That is true, is it not?
- E** A. That is correct, yes.
Q. Yes. So let us have a look. On the liabilities that you claim, dated 8 November '23, you say that you owe your father £202,882. That is the up-to-date figure I have seen.
- F** A. That is correct, yes.
Q. Okay. And you can understand that, just as you want proof of debts, Mr Zahmoul is entitled to see proof of debts. Do you think that is fair?
- G** A. I am sorry, your preamble was just to ask me if I have a contract with my father?
Q. No. Mrs Zahmoul, do you think it is fair that Mr Zahmoul is entitled to see documents relating to debts you say you have? Is that fair?
A. Absolutely, just like I am not (inaudible).
- H** Q. And so ----
A. While he, Miss Campbell ----
Q. I am sorry?
A. The respondent informed he had a loan outstanding to Mr Kobiesh(?) of \$60,000 with no contract for in -- he had a debt outstanding to Ms Molina, with no contract ----
Q. All right. I am sure he will be asked about that ----
A. -- and on 9 January 2022 he wired 1.4 Bitcoin to ----

IN PRIVATE

- A** Q. Okay, you are ----
A. -- (inaudible). Right? He had a debt (inaudible) -- okay.
MR JUSTICE MACDONALD: Let us concentrate on the ----
A. I mean ----
- B** Q. Let us ----
A. I mean, my father (inaudible) survived thanks to my father. And you think I don't have a loan with him? I ----
MISS CAMPBELL: Mrs Zahmoul ----
- C** A. I (inaudible) ----
Q. -- will you look ----
A. Okay.
Q. -- in the bundle, please, at p.388?
- D** A. Yes.
MR JUSTICE MACDONALD: I am sorry, the page number again?
MISS CAMPBELL: 388.
MR JUSTICE MACDONALD: Thank you.
- E** MISS CAMPBELL: Sorry, I might have given the wrong page. (After a pause)
MR JUSTICE MACDONALD: Are you all right?
A. Thank you. Thank you. Thank you.
MISS CAMPBELL: Yes, do you see in para.10, this is an order that his Lordship made on 1
- F** March 2023?
A. Yes.
Q. And he ordered you by 31 March to provide the following disclosure, and at (d) it says evidence of any monies borrowed by you that have not so far been disclosed. So you
- G** were looking for evidence of your debts?
A. Okay.
Q. You have never provided any evidence, but you have said that your father has lent you money?
- H** A. So, Miss Campbell, your point is you want me to -- you want a contract? I have not ----
Q. No, I want to know why you did not obey this court order and provide evidence of a debt that you said you had to your father?
A. Your Lordship, the answer is the same as before, I simply have not had a chance to provide many documents. I apologise for the delay. I will have all the documents outstanding and due to -- for you to understand the case in due course -- in ----
Q. In due course?

IN PRIVATE

- A** A. No, I am really sorry, I did not finish. And so that -- and I am working as hard as I can.
Q. Have a look, please, at p.561.
A. My father had (inaudible) because on April 26 2021 the respondent cut me off by 75% unilaterally without -- and it ----
- B** MR JUSTICE MACDONALD: I am going to take a short break. All right? Because that is what I am being invited, and I think it sensible. So I will rise for a few minutes, and the lawyers will tell me when we are ready. All right?
- C** (Short break)
- MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: Thank you, my Lord. (To the witness): Mrs Zahmoul, I wonder if you
- D** would have a look at p.34(inaudible) of the bundle. Can you see at the bottom of that page at para.12, this is an order made on 7 November '22, and you were asked to provide evidence ----
- A. I am sorry, there was no -- there was no hearing 7 November '22.
- E** Q. Sorry, '23.
A. Okay
Q. I will just check the date. Yes, 17 November, 2022. I am sorry.
A. Okay. That is okay.
- F** Q. And you see at para.12 you were ordered to file copies of your UK and US tax returns. Do you see that?
A. Yes.
Q. You were asked to do that by 8 December 2022.
- G** A. That is correct.
Q. Look, please, for me at p.388. This is the order of 1 March '23, and we can see at para.10 you are being ordered to do the same thing. You clearly had not done it by then, so you are being ordered again, for the second time, to produce your UK and US
- H** tax returns, this time by 31 March ----
A. I sent in September and then in November, so can -- shall I just ----
Q. Let us have a look, shall we? Page 561. You see there you still had not done it by 29 September '23. Then, as you said, on 1 November -- have a look at 593. And you are ordered to do it again, this time by 8 November. That is at para.8(a). We still do not have copies of your UK and US tax returns. Why is that?

- A** A. So the question is why -- okay. Your Lordship, I -- with my -- we sent -- I sent -- my solicitor sent correspondence saying that I do not pay taxes in the UK, which apparently is ignored, so this is really costing money for nothing. I don't pay taxes in the UK because I have no income in the UK because I only became deemed resident on April 6,
- B** 2021 and I left last summer. I am now living in the US. So therefore, as I have repeatedly said in correspondence, I do not pay taxes in the UK, my income is zero. The transfers from the respondent are not taxable when he did transfer because he is stopped on April 26 2021 and so no taxes ----
- C** Q. Okay. And what about the US form ----
- A. I don't understand why we are wasting the court's resources ten times repeating the same order. In the US, as you would have known if you had not delete -- removed it from my -- from my exhibit today, my CPA -- my accountant cannot file my taxes right now
- D** because -- for various reasons, and they are technical and long, and my barrister is going to me: "You are go off-piste". So if you would like me to say it, I will say them, your Lordship. I am not filing my taxes for again the -- my individual taxes, for obvious reasons. Two reasons: (a) not only I have no income but I am in debt. I have
- E** maxed out three credit cards for the children. I am zero. Also again with income. The second part, I need to wait for the K-1 coming from the LLC, and at this stage the LLC is -- I can explain this separately, otherwise it is another off-piste so -- and the third
- F** thing is we did not accept the K-1 for the LLC. The third thing is in 2021 I had -- I was due a refund of 60 to \$70,000 from the IRS that -- which fund has been withheld, and there is a memo from my CPA explaining it. It was withheld by the IRS because they had an inconsistency, a dissonance, between two pieces of information - one that told them I was American, the other one that told them I was not. That came from the K-1
- G** of the LLC. Because of this inconsistency, the IRS blocked my refund at 60 to 70. I used all of my 401(k) from Lehman Brothers, that was 300 and -- 250, I think, the 401(k), and whatever I had in equities. I sold everything to survive paying people. So that has got to be negative. I have not -- my -- Jeff Wilkinson, my CPA, said: "There is
- H** no downside for you to wait until this matter is over and then we can file". That is it.
- Q. And your CPA said there is no ----
- A. It is wasting resources to carry on ----
- Q. No problem for you to wait?
- A. I am sorry?
- Q. Just wait?
- A. Yes, there is no downside.

IN PRIVATE

- A** Q. No downside ----
- A. Because when you owe -- when you are owed money, there is no downside, and when you have no money, there is no downside.
- Q. Let us have a look in the bundle at 223, please.
- B** A. Which one?
- Q. 223. You will see at para.6 you were ordered to provide or request of your health insurance policy company, called Cigna, two matters. You were asked to ask them under which -- you were asked to ask Cigna to reinstate Mr Zahmoul as a parent with authority in respect of that policy, and at (b) you were asked to provide -- or ask Cigna to provide Mr Zahmoul with a breakdown of the claims and the costs under the policy. It is right to say that you have been asked to do that on four occasions and you have refused to comply with the court's orders. Do you agree?
- C**
- D** A. Yes, absolutely.
- Q. So do you consider that if the court makes an order for you do something, it is okay just to ignore it?
- A. Absolutely not.
- E** Q. So why have you ignored it?
- A. So obviously I do not think it is right and obviously I have not complied. So, your Lordship, this one is a big one so I am really sorry ----
- MR JUSTICE MACDONALD: Well, I understand this one is a big one and ----
- F** A. Yes, yes, so I -- yes.
- Q. -- I think we can leave it ----
- A. No, I can explain.
- Q. No, you do not need to explain. I understand entirely. And I am going to ask Miss
- G** Campbell to move past this. All right?
- A. Okay.
- Q. Thank you. Yes.
- MISS CAMPBELL: Can we have a look in the bundle, please, Mrs Zahmoul, at p.638?
- H** Paragraph 7. Can you see para.7, there?
- A. Yes.
- Q. You were asked to send to Mr Zahmoul's solicitors details of the whereabouts of those items listed at 1 to 11.
- A. Yes.
- Q. And to do that by 30 January. You have not done that, have you?

- A** A. No, I have not. So, your Lordship, these watches, the first -- the first thing I would like to say is that they are absolutely not outside the pot on Form E. There is nothing that says those watches belong to the respondent, not to me. I have plenty of pictures of me wearing some of these. So the first point is that these are joint matrimonial assets. So I
- B** could say if the respondent liquidated \$4 million without asking anybody. Right? And the watches, why are we making a big fuss? But the point is I did not have really a choice, because if you look at the timing, I -- my -- I had applied for the LSPO. I had not -- the hearing had not been listed yet. On May 2, I received a unilateral email from
- C** the respondent that -- this is -- this is -- he is not allowed to email me, saying I have no money, so we are done, so I went to zero on May 2, two weeks before my daughter's 18th birthday. A-levels and GCSE, just remember, right, zero, right? And I -- my landlord said that I have to leave by July 4. I lined up the moving company with £4,500
- D** just to -- just to -- just to move. I was working up to write the LSPO, and I still had one daughter in A-levels, taking -- taking math, French ----

MR JUSTICE MACDONALD: Mrs Zahmoul ----

- A. Yes.
- E** Q. -- I understand ----
- A. So -- so this -- the last thing I had, my father sends 3,557 per month, which was strictly for the education and support and therapist of the children, straight. They will not go anywhere else, and I would not have survived without my father's loan. And my mother
- F** has (inaudible) so he is taking away money that is -- my mother is a lawyer and ----
- Q. Mrs Zahmoul, just ----
- A. -- so I ----
- Q. Just pause, please.
- G** A. I am sorry.
- Q. Just pause. You are running away again.
- A. I am sorry. So ----
- Q. I have the answer to the question ----
- H** A. I really -- I ----
- Q. -- that you were asked. Okay?
- A. Yes.
- Q. Thank you. Yes, Miss Campbell.

MISS CAMPBELL: Thank you, my Lord. Can you look at that same page, 637?

- A. Yes.
- Q. And can you see that you were also asked to explain, in para.6, and subpara.1, 6.1:

IN PRIVATE

A "Provide disclosure with respect to two transactions from Hopkins and Jones of £20,000 and £29,000" ----

A. But that is exactly the watches. I am sorry, yes, I -- this one is an easy one. So that is -- whatever money I got, it was just in case ----

B Q. But you did not respond, did you?

A. I am sorry.

Q. You did not give that answer. You have not sent a letter ----

A. I can -- I cannot -- I am really sorry. Your Lordship, for the interest of you
C understanding the case, I have only -- I have -- I am trying to survive for four years with two daughters and I am trying to keep them where they are and thriving. I cannot respond to everything. So I have learned to distinguish between different buckets of emails, of requests. And I am really sorry, I do not know if this was an order or not, but
D I only have limited resources (inaudible) allocating them to what will move the case forward. Trying my best. This one does not because the question and the answer are no, so I do not understand what it is the point of asking.

Q. All right. Let us focus on what you think is important, and that is the undisclosed assets
E - yes?

A. No.

Q. No?

A. No. Is that a question or are you making a statement?

F Q. No, I am moving on, yes ----

A. Okay, but ----

Q. I am telling you that I am moving on.

A. -- you stated that what I think is important is the undisclosed assets.

G Q. Do you think that is important?

A. So now it is a question?

Q. I am asking you ----

A. No, what is -- no. That is not strictly the answer. The answer is -- the answer of what is
H important is a dignified, just separation and freedom from everything that (inaudible).

Q. Okay. At your statement, your conduct statement, on p.3273 -- and you do not need to turn to it, but you say there is, rounded numbers, £141 million, at least, missing from the assets?

A. Yes.

Q. Okay. Can we have a look at your breakdown of this? Turn to p.3266. So 3266. This is a first category that comes to around ----

IN PRIVATE

- A** MR JUSTICE MACDONALD: Miss Campbell, just wait a moment. We are just locating the page. (After a pause)
- MISS CAMPBELL: If you look at para.9, there is a figure 1, "initial non-disclosure identified by the applicant". Yes? And the figure in round terms that you claim there is
- B** 23.1 million. Can you see that?
- A. Yes, I am with you.
- Q. Yes?
- A. Yes.
- C** Q. And if we just scroll forward, so the judge can follow - I am sure he has looked at this already - on p.3269 there is another figure of 9.8. Yes?
- A. Yes.
- Q. This is from ----
- D** A. Yes.
- Q. -- his tax return?
- A. Yes.
- Q. So you add those two figures together, and then you have another on p.3272. This is
- E** crypto currency that is undisclosed, another 3.9 million. Yes?
- A. Mm.
- Q. And then you have another figure on p.3273 of 103.9 million, and all together, you say, add all of those figures together, it comes to -- and I will use round numbers, £141
- F** million?
- A. That is correct.
- Q. Let us try and examine some of it. Can I just put this big point to you, because I know it is going to take a long time to try and understand the figures, so I want you to be clear
- G** what my instructions are. My instructions are that these figures are unrealistic and unrepresentative of reality, that they are plucked out of the air and added together in all mixed up ways and they do not make sense. That is the general point that Mr Zahmoul would like me to make to you. Do you accept that?
- H** A. Absolutely not.
- Q. Okay. So let us have a look at the ----
- A. Okay, I am really sorry, do you know what ----
- Q. No, you have answered me, and that is a fair, straight answer.
- A. Absolutely.
- Q. Thank you very much. Let us go back to the first figure then, if we can, on p.3266. That round figure that you have there, 23.1 ----

- A** A. Yes.
Q. -- million ----
A. Yes.
Q. -- is different from your section 25 statement. And I do not know where that is in the
- B** bundle because it was added late. Is there a hard copy for Mrs Zahmoul? Thank you.
If you have a look in the section 25 statement, Mrs Zahmoul ----
A. Yes, yes.
Q. -- at para.35.
- C** A. Yes, not the same assets. Different because it is not the same assets.
MR JUSTICE MACDONALD: Which paragraph?
MISS CAMPBELL: 35. (To the witness): So this figure of 38.288-odd million here, you are
saying that this is completely different, it is not connected, is it? It is not the same
- D** figures with the total I am looking at ----
A. Miss Campbell, one is called initial -- initial, and it was representative of Form A and
Form E. So at the time of Form E, one was missing, the other one was missing. So this
one is more as of 7 April, 2021, so ----
- E** Q. Just pause there.
A. Yes, of course.
Q. This is a figure that you say is representative of April '21?
A. As of my knowledge of today.
- F** Q. But what you are asking the judge to do, because we have just analysed this, is add
it ----
A. What have we analysed?
Q. Because we went through the figures. We looked at that figure of 23 million. We
- G** looked at the next figure and the next, and you have added them all together ----
A. Yes.
Q. -- to come to the global figure of 141?
A. Yes.
- H** Q. And what you are saying is that sum and this sum and this sum and this sum, added
together, there is £141 million missing?
A. Okay, let me ----
Q. Yes?
A. Okay, so, yes, what ----
Q. So I am trying to understand. If we look at this first box in the file, 23.11 million, it is
different, is it not, than the one I can see on para.35 of your ----

IN PRIVATE

- A** A. Yes, the difference is one has -- the difference is not the breakdown of assets.
Q. Okay.
A. One of -- one ----
Q. Are you saying -- I understand you are saying it is different.
- B** A. Yes.
Q. Are you saying that this figure in para.35, because it says here "conclusion throughout the marriage", and you go on to say that ----
A. Mm-hmm.
- C** Q. -- Mr Zahmoul was hiding assets.
A. Yes.
Q. And you are referring here: "Below is a summary" -- and this is the bottom of that same paragraph.
- D** "Below is a summary of the non-disclosed marital wealth for which I have provided extensive documentary evidence and which amounts to 38.2 million."
- E** A. Yes.
Q. So is this sum of \$38.288 million what you added up, or do you want the judge to rely on the figures here, starting with 23.11?
A. Yes, some are -- they overlap so ----
Q. So which ones should we look at?
- F** A. Okay. So, Coinbase -- we need to go asset by asset. Coinbase are direct ----
Q. Well, let us look at ----
A. -- was not - was not disclosed. Value as of the date of Form E, 5.7 sterling. Okay?
Then that is this table. Then Gemini is on this table.
- G** Q. Well, let us deal with ----
A. It is not on the original statement because I did not have Gemini. I only found out in March 2023. So it is on this table. So I am just telling that I did not know about Gemini until March 2023 when I received the subpoena of 9 February and the subpoena of 6 March. That is when I found out, two years later. That is why it is not in the other table. Then we move to land in -- purchased land from the -- I give you one, I give you two.
- H** Q. All right. It might be easier if I ask you the questions and then you answer ----
A. But you are asking me why in one table ----

IN PRIVATE

- A** MR JUSTICE MACDONALD: Let me ask a question, Mrs Zahmoul. Are you saying therefore now that the table that you have got in your section 25 statement----
- A. Yes.
- Q. -- that adds up to \$38.2 million ----
- B** A. Yes.
- Q. -- yes, should replace the table in the -- that we see at p.3266?
- A. Exactly. But we would be missing those Barclays accounts - the Barclays accounts that I cite on p.3266. They were not in Form E but they were disclosed later. Therefore I
- C** considered them to be deficient disclosures, okay, and the assets here. So, you are right, you are absolutely correct, these -- the Encore investment with a return of 100, never heard of it, and suddenly there is one ----
- Q. I understand that.
- D** A. Yes.
- Q. But that basic point is ----
- A. Yes.
- Q. -- that this ----
- E** A. Yes.
- Q. -- replaces that?
- A. Correct.
- Q. I get you.
- F** MISS CAMPBELL: So therefore when I asked you the first question - do you want the judge to add this figure and this figure and this figure to come up to 141 million? - the answer is no?
- A. The answer, this is more accurate. They do not have the same sub -- sub-assets. This
- G** could be more accurate and be missing -- I would -- you see, Miss Campbell, this is a very difficult exercise. The answer is because we had no disclosure, and I am going to repeat, no disclosure. We do not know what Encore investment is ----
- Q. Mrs Zahmoul, I have to be careful about this, because you have given specific figures.
- H** You have not just said ----
- A. Yes.
- Q. -- "I do not know, it might be between 5 and 10 million". You have actually added up specific figures to come to 23 million there.
- A. Well, both have specific figures. If there is a figure, then we can back it up. Otherwise I will not have a figure.
- Q. All right. Let us try that, shall we? So you have focused ----

IN PRIVATE

- A** A. Sure.
- Q. -- on Coinbase, and your figure in the bundle is £5.7 million sterling, at p.3266. Yes?
- A. Coinbase - yes?
- Q. Yes.
- B** A. Yes.
- Q. And the figure in your statement is \$7.059 million.
- A. One is dollars, the other is sterling.
- Q. Yes. So while we are looking at your statement, the total figure is \$38 million, but the
- C** paragraph says: "I seek 38 (inaudible) and which amounts to £38.288 million".
- A. Okay ----
- Q. Which is accurate?
- A. That is a very good point. My apologies to the court ----
- D** Q. That should be dollars, should it not?
- A. Absolutely, it is dollars, yes.
- Q. Okay. So the \$7.59 million you are saying is an exchange rate to give you the equivalent of 5.70?
- E** A. Yes.
- Q. Yes?
- A. Yes.
- Q. What exchange rate have you been using?
- F** A. The one at (inaudible). I am sorry, the date of the direct listing, April 14 2021.
- Q. Okay. And where is the evidence for this figure?
- A. Which one?
- Q. The \$7.59 million,
- G** A. I don't know the -- it is something -- okay, the first evidence is through -- I am sorry, FDR, July 19th. 16 July 2021, 3.00 p.m. mountain time, Wyoming, the email we received updating disclosures from HFC, announcing that their client -- announcing that he had received 21,000 -- 825,000 shares of coin -- of Coinbase security, which 7.059
- H** million on -- right? And they told us on 16 July before the ----
- Q. Okay. I understand ----
- A. So that is where -- that was the first evidence. In it there was a little piece of paper which is from Topanga Canyon Holdings, the LLC, the primary vehicle that had the partnership ----
- Q. Mrs Zahmoul, you have answered my question. Thank you.
- A. Is that ----

IN PRIVATE

- A** Q. You have taken it -- this figure comes from the value that was awarded to Mr Zahmoul at the date of the listing of the Topanga shares in Coinbase. Yes?
- A. It was the value of 7 -- it was the 7.059 million that he received in the bank ----
- Q. Yes, okay ----
- B** A. -- on his securities on 14 April, 2021 ----
- Q. You have made your point clear.
- A. -- at that rate ----
- Q. I understand.
- C** A. Okay.
- Q. But those shares ----
- A. Yes.
- Q. -- were not sold immediately. The share price went down, and they were eventually
- D** surrendered in September for a different figure, were they not?
- A. That is a very good point. That is really good -- I would like to -- I am really sorry ----
- Q. That is correct, is it not?
- A. If -- okay ----
- E** Q. Is that correct?
- A. No, it is not accurate.
- Q. So the shares were not surrendered in ----
- A. Could you ----
- F** Q. -- September of the following year?
- A. Could you -- could you get the -- could you pull out the transaction statement that says the shares were sold, so I can explain to you?
- Q. I am afraid I cannot ----
- G** A. (Inaudible) ----
- Q. -- do that, Mrs Zahmoul, but I want you to tell me ----
- A. Okay.
- Q. -- are you challenging ----
- H** A. Of course ----
- Q. -- the version ----
- A. That is exactly what I am saying.
- Q. I see.
- A. Yes, so ----
- Q. What is it -- let me understand, because I had not understood that.
- A. Yes.

- A** Q. Are you saying that Mr Zahmoul never surrendered those shares?
- A.** Absolutely, and I am actually -- actually that is exactly what I am saying, and this requires further information. Your Lordship, Mr Zahmoul liquidated \$4 million of Coinbase, as Coinbase securities, between mid-September to the end of September, of
- B** which he produced documentation on 5 December 2022 after the hearing with you on 17 November. In that documentation he states he sold -- he received -- he -- remind me to go back to the Portuguese taxes where everything changes. He states that the shares that he received in April 2021, 7 million, had become 1.4. That 7 million became 1.4, and that he sold it on 16 September 2022. He produced a piece of paper, so the shares were held in custody at Forte Security in the custody of Bank of New York Mellon, New York. These are shares of Coinbase. Coinbase is an American company traded on Nasdaq. The shares do not have any other -- they only trade on Nasdaq. When he
- C** produces the documentation evidencing the same, it is what we call -- it is notification, it is -- it is not a sale confirmation. Traders, when they sell -- when they sell shares, they receive a confirmation. This was an indication, a quote indicating: "If you sell, you will get this price", and it ----
- D**
- E** MR JUSTICE MACDONALD: Okay, I understand.
- A.** And it came from Sydney, Australia. There is a sure reason why ----
- MISS CAMPBELL: Let us have a look at ----
- Q.** -- why -- why -- it is easy ----
- F** MR JUSTICE MACDONALD: Just pause a moment.
- A.** Yes.
- Q.** Let us go and look at the document first.
- A.** Yes, okay.
- G** **Q.** Because that is ----
- A.** Okay.
- MISS CAMPBELL: Page 4142.
- MR JUSTICE MACDONALD: All right?
- H** **A.** Yes, I ----
- Q.** Okay. Well, let us just look at the document.
- A.** I do not need to. I know it.
- Q.** Well, I need to look at it. All right?
- A.** I am sorry.
- Q.** Do not worry.
- A.** I am sorry.

- A** Q. That is okay.
- A.** Okay. At the top you see Australia and (inaudible). So to the question: "Are you disputing?", the answer is "Yes". But what I am saying is that this is a lot of explanation. One is the story from Australia. Now, what you do need to know is that
- B** Mr Fadi Kassis, with the correspondence recently about the Bitcoin world, who is now based in Australia. So Forte Securities is a middle bank, it is a wholesaler. They service only -- they do not service retail people. They service hedge funds, broker dealers. Fadi Kassis is a senior person here who used -- who was the boss of the
- C** respondent. The respondent is approved by the FCA in London, and in order to have that acting licence of being regulated by the FCA he needs to be sponsored by an institution. The respondent has worked -- he has had -- it is Forte Securities. He signed the manual of compliance of Forte Securities and he is sponsored by Forte vis-à-vis the
- D** FCA. Furthermore, the respondent and Fadi Kassis -- the respondent has a company, a consulting, financial consulting company in (inaudible) and has a business relationship with wholesale ----
- MISS CAMBPELL: Mrs Zahmoul, can you ----
- E** A. This is very relevant.
- Q. Are you saying you do not believe this document is true?
- A. I am ----
- Q. It is a sham, a forgery?
- F** A. Not at all.
- Q. No?
- A. Not at all. What I am saying is that if you are selling Nasdaq quoted securities, you do not need -- you do not do it from Australia. It gets really complicated. You do not do it
- G** from Australia. Number two, there is not a single reason why somebody who understands markets would sell at that time, as it was zero, be -- do you want to know why?
- Q. What do you think happened, Mrs Zahmoul?
- H** A. Okay, okay. Okay. One option, so I am saying -- I am saying the respondent has not disclosed the relationship he has with Forte Securities as an institutional investor, not as a retail. They do not. Number two, this could have been -- your Lordship, if you do not want to sell stock, which is something that in this case I can -- I can document he did it, it happened -- there is another case. You can -- you can -- if you think a stock is going to go up and other people think it is going to go down, you can sell a put, a derivative,

IN PRIVATE

- A** on the stock and make money, right, and let other people borrow the stock. So it looks like a sale. You make ----
- MR JUSTICE MACDONALD: Just pausing there. I know all that in theory ----
- A.** Oh, sorry ----
- B** **Q.** Just coming back to Miss Campbell's ----
- A.** Yes
- Q.** -- question, what do you say happened here?
- A.** This -- the reason is that desk of Forte is based in Australia.
- C** **Q.** Yes.
- A.** Their derivative operations are based there. Either this is a derivative transaction whereby he -- somebody borrowed the sales -- the shares and Mr Zahmoul sold a put and he made the margin -- the premium on the put and then gets back the shares at a later date, or something else. All I am saying is there is not a single reason why a Nasdaq quoted share would be sold from the Australian desk. Furthermore, from the Australian desk, the next step is that we see funds going from Forte Securities, London to Revolut London. Now, I have no idea how this got -- a US quoted, in US dollars equity would end up going from Sydney Australia to London in US -- in GBP, and then Revolut is sending it to Revolut New York, then it needs to be transferred from GBP to USD, and then the USD goes to Denver and Bank of Jackson Hole. I am sure for a trader or someone in back office it makes sense. To me the denomination of Coinbase
- E** is US dollar Nasdaq, it is sold instantly, then it goes to London in sterling, then to New York, back in dollars and then to Denver. Nothing makes sense. I am saying there is not enough information.
- F** **Q.** All right. Thank you.
- G** **A.** You are welcome.
- Q.** Yes.
- MISS CAMPBELL: All right. Well, Mr Zahmoul has sold the shares and this is proof of it, and you do not accept that. Is that where we are?
- H** **A.** No, this is -- this is -- is this -- Miss Campbell, this is -- is this what you call a trade confirmation or is it a quote indication? Because I do not know. All I can do ----
- Q.** Mrs Zahmoul, this document is evidence of the sale.
- A.** You say that. You know what, I would make sure -- I would make -- if it is good, there is many questions and the entire look is -- does not -- it is simply (inaudible) There are other ways to sell a US dollar (inaudible) ----
- Q.** All right. Let us look at the next category. On your statement, the next item ----

- A** A. Is this -- I am sorry, it is just he sold on 16 September, right? Because we need -- when we get to the Portuguese tax return, we need to remember that date - right?
- Q. Can we go back to your document in the bundle, your conduct statement, at 3266? We can see there that you have -- it is in a different place, I am afraid, but I am trying to
- B** follow some consistency. You have -- okay, I am going to -- I cannot actually do that. Sorry. Look in your statement, back at para.35. I was trying to follow through but there is not any similarity in the conduct statement. You have got Gemini subpoena results there?
- C** A. Yes.
- Q. \$1.8 million - yes?
- A. Yes.
- Q. And at 18 -- you call that the Gemini subpoena results. Let us just have a look. At 1834
- D** -- you do not need to. I am sorry. You have said that you got a subpoena, and I think that was in 2023, early 2023. Is that right?
- A. Yes.
- Q. In the US against Gemini?
- E** A. February and March in two ----
- Q. February and March 2023?
- A. In two tranches, yes.
- Q. Have a look in the bundle at p.1936, please? So you are claiming \$1.8 million of hidden
- F** crypto, and you rely on the subpoena, and at 1936 this is your statement explaining how you learned about the crypto. Okay? And this is just generally undisclosed Bitcoin crypto, and then if you -- just so you can follow through, if you travel down through that document and get to p.1939, you will see specifically the reference to the Gemini
- G** production, the subpoena.
- A. Yes.
- Q. Do you follow me?
- A. Yes.
- H** Q. So in early 2023 you got a subpoena and you said that that revealed to you that Mr Zahmoul had been cheating and had hidden Gemini. Is that your case?
- A. No. I am sorry. Specifically Gemini? Yes, the subpoena, it actually means that there was -- that there was a subpoena, that there was a Gem -- that he had an account at Gemini, that is correct.
- Q. Because we have got the figure of \$1.8 million. That is what I am trying to tie down, where that figures comes from?

IN PRIVATE

- A** A. It -- you do not have the subpoena results here? I am not sure. But basically a judge in New York City ordered -- made a court order to Gemini Exchange, Southern District, to -- for full subpoena ----
- Q. I understand that. What I am trying to ----
- B** A. -- and in two tranches ----
- Q. I am really sorry, Mrs Zahmoul, but I have to be specific.
- A. Okay.
- Q. Because I am just trying to understand. I accept you made ----
- C** A. I understand. The results of the subpoena told me how much -- how many Bitcoins were in the account.
- Q. Okay. So let us focus on this point.
- A. Yes, of course.
- D** Q. First of all, the \$1.8 million, what do you say that relates to? How many Bitcoins do you say that relates to? Because it is not in this document ----
- A. Hang on ----
- Q. -- or anywhere in the bundle.
- E** A. I am sorry, if -- can you just ... (After a pause) Oh, okay. Again, I am sorry. So the results of the subpoena show at the date of the subpoena result, 2 February -- February 2023, a balance of 5.5 Bitcoins and change. However, the blockchain, which is immutable, if you trace blockchain ----
- F** Q. Can I just check the date? I did not ----
- A. I had two subpoena productions. One was ----
- Q. 5 Bitcoins when?
- A. I believe, but I am talking off memory, in -- 5 Bitcoin at the date of the subpoena is at February -- mid-February 2023.
- G** Q. Okay, 2023.
- A. And the second tranche is March 9 2023.
- Q. So five Bitcoins in total.
- H** A. Yes.
- Q. The value ----
- A. Yes.
- Q. -- in March or February 2023 ----
- A. Yes.
- Q. -- is \$1.8 million? Is that what you are saying?
- A. I know where you are going with this. I ----

- A** Q. I am trying to understand where ----
- A. I know, I know. But I can give it so -- so -- your Lordship, as the expert Marlon explained yesterday, the blockchain is immutable once you have the address, and I knew there was -- and the subpoena, as I have said, there were 5 Bitcoins at that date.
- B** The blockchain tells you how many Bitcoins were there on April 7, 2021, the day of exchange of Form E. So that number there is with the Bitcoins that would have been in that wallet on the day we exchanged Form E and we had the FDA. That is the -- it is not -- it is not five Bitcoins times any Bitcoin value. It is the Bitcoins that were in that
- C** wallet address the day we exchanged ----
- Q. So the ----
- A. -- and nothing was re -- and on that day the respondent did not disclose any Gemini wallet or Bitcoins.
- D** Q. I am afraid I still do not understand ----
- A. Okay. I will try a different way. I have -- I have the wallet address of the Gemini account. I have that address. The blockchain will tell me with the wallet address, it is public information ----
- E** Q. But where can we see that in the bundle? When you have claimed \$1.8 million, where in this statement do you show the other -- the blockchain or the Bitcoins ----
- A. Okay. Well, I have -- that is different -- then you have to ask for that differently. You are saying where is the -- where is the back-up for that?
- F** Q. Yes, I actually do want to know. Surprisingly, Mrs Zahmoul, I do want to know how you come to these figures ----
- A. Then I will -- I will -- I will get the information ----
- Q. No ----
- G** A. -- and I will send it to you.
- Q. -- I am afraid I need to know ----
- A. I cannot do anything else.
- Q. You cannot?
- H** A. I need to go check -- somebody needs to go and check analysis. Maybe slightly I am a bit -- I have the information because I do not pull numbers off my -- off the thin air.
- Q. All right. Let us have a look then at the undisclosed UBS account. Paragraph 35 again.
- A. No, undisclosed UBS account?
- Q. Yes. Have a look. It is para.35 of your statement ----
- A. I am sorry, undisclosed holdings in UBS account? That is very different.
- Q. I am sorry?

IN PRIVATE

- A** A. Undisclosed holdings.
Q. Yes.
A. Not undisclosed UBS account ----
MR JUSTICE MACDONALD: Let us just look at the figure.
- B** A. Okay. Okay. Okay.
Q. Okay?
A. Yes.
MISS CAMPBELL: Okay?
- C** A. Yes.
Q. Here you say 20.546 million-odd?
A. Yes.
Q. Yes?
- D** A. Yes.
Q. You see that figure?
A. Yes.
Q. Where does that figure come from?
- E** A. It comes from the statements of UBS. Cumulatively over the years the money that goes ----
Q. Cumulatively over the years?
- F** A. I have -- is this -- I have an explanation that makes a little bit more sense at 42. 42, okay? So hopefully it makes sense. It explains, and I am going to try. Your Lordship ----
Q. The first line is wrong, is it not, because Mr Zahmoul stopped working for Barclays in 2014?
- G** A. Yes, but he was still getting paid in '15 and '16 in -- formally from a tax perspective, he was still -- he was still an employee. So that is actually an area where we need a little bit more clarity. I am not sure why there is -- there is a big -- there is an inconsistency. His tax expert, AG Tax, says that he was employed until 16th -- 15/16. So he received
- H** compensation. He was not actively working. Maybe -- I am assuming that, I do not want to speculate. Only the respondent can tell the truth, or HR at Barclays Capital why he was not working but he was getting paid so ----
Q. Let us look at the big question first.
A. Yes.
Q. You have claimed 20.456 million in para.35.
A. Yes.

IN PRIVATE

- A** Q. Where do I see that sum on para.42?
A. Yes.
Q. How do I get there?
A. You turn the page and you get to p.13.
- B** Q. Yes.
A. And total 20.5 so ----
Q. What have you done? You have added up UK earned income ----
A. I tried my best.
- C** Q. So you have added up UK earned income from 2005 to 2018. You have taken off the tax - is that right?
A. Okay. So ----
Q. And then you have got a figure of 11.4. Just follow through so we can understand the
- D** maths. Yes? Is that right?
A. If you would like to do it or shall I do it? You want to do it? Because the starting point is the tax memo. The easiest way, your Lordship ----
Q. No, let me ask you questions, Mrs Zahmoul, otherwise we will not get there.
- E** A. I am just trying to ----
Q. I want to understand ----
A. I am just ----
Q. -- your table in your statement. So the first column of 19.859 million-odd, you have
- F** deducted 8.394 to come up with 11.464. Is that right?
A. I think, yes.
Q. Yes?
A. Yes.
- G** Q. Then you have living expenses of 8.99, which I presume you deducted - yes?
A. Yes.
Q. To come up with a final figure there of 2.467 million - yes?
A. I am sorry, let me go back. 2.4 -- that is cumulative, yes.
- H** Q. Yes.
A. And that ----
Q. So we start with 2.467 and we go over to ----
A. No, no, no.
Q. No?
A. No, each year goes across this way. So 2. -- your 2.4 cumulatively is clean capital at the end of 2018. You see clean capital. Clean means it is income that has paid tax and it is

IN PRIVATE

- A** the surplus reserve. That means it can be used for spending in the UK without paying further taxes.
- Q. All right. So how do we get from 2.467 million up to 20.546 million?
- B** A. I am sorry, these were meant to go by year this way. So the way you get there, year by year, is -- so what I am saying -- what I am saying, and it might be difficult -- your Lordship, four sources of income there divided in four fiscal buckets. That is very, very important. The first bucket is income into one specific ----
- MR JUSTICE MACDONALD: No, no, I understand that ----
- C** A. Okay. Okay, very good. The three other buckets are not ----
- Q. Yes, they ----
- A. They are not in the UK.
- Q. Yes, you have said that ----
- D** A. Only bucket number one is used for UK expenses. That is household. That is the account that I had access to. So the way it goes is UK earned income, cumulatively he made 19 million over the years in -- for that bucket. That is UK earned taxed income.
- Q. I understand.
- E** A. Then he paid 8½ million in taxes.
- Q. Yes.
- A. And the burn was 900 per year.
- Q. Yes.
- F** A. At the end of 2016 there was a reserve of 2.5, which was already his because he has paid taxes already. That reserve, what do we do if he did not have a job? Year number one, that is 2018, we spent 942. So the reserve went down. And year number 2, that is 2019, we spent 942 UK, and the reserve went further down. Then the next page, p.13,
- G** tells you at that same time what do we see going -- happening at Barclays, at UBS? Now, UBS is offshore and receives three buckets: offshore untaxed earned income, and then capital offshore, and then return on capital, income on the capital. Three buckets. None of them pays tax. But there is one more account that is called remittances. It is
- H** an arrangement between UBS and HMRC through a simple Liechtenstein LDS where UBS takes tax for H -- on behalf of HMRC over there, and that money can come and pay the bills here. But it has to be in a special account segregated, called LDS, right? And he has to sign every year his approval, minimum disclosure. He was under remittances programme which meant he did not disclose full disclosure, but he paid HMRC 30 or 60 a year for that, for not disclosing. So what this next page 13 says is we see at this time while we are living onshore -- spending onshore with the 19 million

IN PRIVATE

- A** cumulatively. We see this inflows and outflows from UBS. We see a total inflow/outflow of 12 million. 12 -- 13 in, 12 out. This is (inaudible). And we see (inaudible) liquidations of Barclays share, and part of the compensation is in Barclays shares. They are very complicated and I cannot pretend that I have full grasp of them.
- B** Some of them are called BACS, some of them are called payroll, and then there are three different categories. I am not sure which ones are taxed. He was also (inaudible). He did not pay taxes on (inaudible) spent outside the UK. He also had an (inaudible). It is very complicated. He was also doing tax-avoidance scheme ----
- C** MISS CAMPBELL: My Lord, can I interrupt and ask a different question?
MR JUSTICE MACDONALD: Yes.
- A.** Okay. So I am sorry, I am just saying ----
- Q.** Can we -- you may think that you are making sense on this, but I am struggling to understand.
- D** **A.** Okay.
- Q.** So I am going to get Miss Campbell to ask a different question to see if I can get some more clarity for me. All right? So just pause and let Miss Campbell put her next question.
- E** MISS CAMPBELL: If you look at para.36 and the undisclosed holdings at UBS, you have got a figure of \$20.5 million - yes?
- A.** Where?
- F** **Q.** So on p.10 ----
- A.** I am sorry, I really ----
- Q.** -- of your statement ----
- A.** I -- okay, I ----
- G** **Q.** -- line 113, undisclosed holdings, UBS accounts, \$20.5 million - yes?
- A.** Yes.
- Q.** Have a look in the bundle ----
- A.** I am sorry, one second. I am really ----
- H** **Q.** -- at 3266 ----
- A.** One second. Undisclosed. Okay, Form E20 ----
- MR JUSTICE MACDONALD: Yes, so you have got that figure. Now let us go back to 3266.
- MISS CAMPBELL: And I appreciate this is in sterling ----
- A.** Yes, okay.

- A** Q. -- but the figure you say for undisclosed holdings, UBS account, is £12.18 million.
Now, I carried out the exchange rate at 1.25. It might be slightly different. But 1.25, \$20 million is £16 million. I do not understand ----
- A. Yes.
- B** Q. -- how you have 20 ----
- A. I do ----
- Q. -- in one document and 12 in another?
- A. I completely agree. So the 20 is in fact the flows that went -- so your Lordship, you understand the part where the spending in the UK is covered? Right?
- C** MR JUSTICE MACDONALD: Mm.
- A. So now we are talking about the three funds, the three sources of income that are not in the UK, they are offshore. There are three that are -- there is the UBS account with
- D** inflows and outflows of 13, 12. Then there are shares, liquidations of the shares of Barclays, 3.8. And then there is rental revenue from the apartment we had in New York, which can be in Citibank. We were renting for many years at \$25,000 per ----
- MISS CAMPBELL: Are you suggesting none of this has been spent?
- E** A. I am almost done. So, no, No, what I -- no, no, that is not what I am saying. So that equals 20.5. 20.5 of offshore untaxed capital income earning, whatever you want to call it. It is an asset based, cumulatively. 20 that I cannot account for. Why? Because the real estate that we co-own in the US is not part of this 20. It was purchased prior to
- F** 2004 with clean capital at the time when we worked in the US ----
- Q. Mrs Zahmoul, I am going to interrupt you ----
- A. Yes, this is ----
- Q. -- because I do not follow what you are saying.
- G** A. Okay.
- Q. So at the moment, I am not able to understand the point you are making, and I cannot really ask questions if I do not understand what you are saying.
- A. Okay, okay.
- H** Q. I am going to stop you, and that is me stopping you. Mr Molyneux is allowed to re-examine you, so he can come back and help you explain this if that is necessary.
- A. Your Lordship ----
- MR JUSTICE MACDONALD: No, it is all right. Mr Molyneux will deal with in re-examination. All right.
- A. I am sorry. I am really sorry.
- Q. Do not worry. It is okay.

IN PRIVATE

- A** MISS CAMPBELL: I am focusing on the UBS wallet ----
- A. I do not have an asset for this money. It is an asset base that has been invested but not disclosed so ----
- Q. Okay. So I am focusing on the UBS because if I can focus ----
- B** A. Yes.
- Q. -- on each item ----
- A. Yes.
- Q. -- we might be able to understand where the figures come from. And with the UBS, I
- C** want you to have a look in the bundle at 3299. These are inflows and outflows from the UBS statement of assets. Can you see this? This is, as I understand it -- yes?
- A. It is a (inaudible). It is the equivalent of the -- what I had at page ----
- Q. Well, this is your document. It is your ----
- D** A. Yes, a different -- probably at a different point in time.
- Q. And different figures, exactly. Different figures from the ones we have in your statement.
- A. I understand, yes.
- E** Q. But let us work with this one from the moment because it is nice and set out in front of us.
- A. Okay, yes.
- Q. You are trying to say, as I understand it, that in sterling you have had 14 million come
- F** in, 14.29 ----
- A. Yes.
- Q. -- million come in?
- A. Yes.
- G** Q. And 14.63 million going out?
- A. Yes.
- Q. These are payments of UBS assets - yes?
- A. No, they are flows ----
- H** Q. Flows through the UBS?
- A. I am also saying this is in excess of what we spent in the UK. These funds not -- they are above and beyond the cash burn of the UK.
- Q. So let us pause there. I want ----
- A. They are not needed.
- Q. I need you to ----
- A. That is very important.

IN PRIVATE

- A** Q. I want you to pause ----
A. Okay.
Q. -- because I am not keeping up still.
A. I -- I ----
- B** Q. As far as I understand it, the UBS account shows £14 million going in?
A. Yes.
Q. £14.6 million coming out?
A. Correct.
- C** Q. Is it your case that effectively that money is being hidden somewhere?
A. You said that. I did not say that. I -- my case is that the money is -- the money is not accounted for. I do not have an asset for that money. So I did not say what you said.
Q. The monies are not accounted for ----
- D** A. My case -- I am sorry, yes, my case is that money is not part of the burn of the UK.
Your Lordship, you understand?
MR JUSTICE MACDONALD: Yes, thank you.
A. Okay. So that money was not used on -- in the UK. Cash burn, we use 900 a year, that
- E** was covered on the first table at ----
Q. No, no, I understand. All right. Thank you.
A. Okay.
MISS CAMPBELL: Have a look for me, please, at p.3496.
- F** JUDGE MACDONALD: 3496?
MISS CAMPBELL: Yes, please, my Lord. (To the witness): Now, this is a document from
- G** UBS showing all of the money going in and out, and we can see from this document the timeline, because it is in reverse. But if you look at the bottom, you can see June 2005 there is a fund value of some €84,000. Can you see that there? Bottom line, 17 June '05?
- H** A. Yes, I am looking at it with you, yes.
Q. Yes. Then is 2010, inflow of €8.8 million comes in, and outflow, 5.6 goes out. We agree ----
A. 2010, no ----
Q. -- the bottom line ----
A. Final value 3 ----
Q. And a very broad ----
A. I think, yes, we are looking at the same in ----
Q. That leaves a final value in the first column of just over 3 million ----

IN PRIVATE

- A** A. Yes.
- Q. We are both agreed about that.
- A. We both agree, yes.
- Q. The next year nothing goes in, and 252 comes out. So in fact the fund value -- sorry, 7.8
- B** is deducted, and 252 flows out ----
- A. Miss Campbell, I follow you very well. My point is this is the same table as the one inflow/outflow. My point is the outflows are not going to the UK. The outflows are not -- they are above and beyond what was spent in the UK from my first chart. Where are they? I don't know. What assets were they used to purchase? I don't know. That is ---
- C** Q. Because you do not have an audit of every penny spent ----
- A. No.
- Q. -- during the marriage, you think that this money still exists somewhere?
- D** A. Miss Campbell, number one, "audit" is not my term, it is yours. Number two, if you have 20 million that are not accounted for and you do not have an asset for it, I am sure you will do something about it. I do not understand your question. An audit? Can we -- I do not have ----
- E** Q. We can see here ----
- A. There are no assets that have been reported that justify 20 million. It is not an audit that I will need, it is a -- the point, your Lordship, is that the outflows do not go to the UK because the outflows are offshore -- offshore income untaxed earnings ----
- F** Q. I am instructed that they are in the UK, so they go to the UK. The outflows are not hidden anywhere. They are used by the family and spent ----
- A. Okay. The family uses 900 a year and that is fully covered by account to -- but by pay -- by what went into account 281, though, I do not remember, above and beyond, the
- G** excess is always swept out and ----
- Q. Do you understand that even if it is going into another account, the money has got to come from somewhere. It comes from UBS. If it goes into another account and is spent on another account, what do you think you and the family have been living on ----
- H** A. It does not come from UBS. Miss Campbell, it does not. UBS -- the respondent is not an employee of UBS. There is no money coming from UBS. It is coming into UBS and it comes from an offshore Barclays account and other sources. There are two primary ----
- Q. Mrs Zahmoul, it ----
- A. Yes.
- Q. -- says quite clearly in this statement that it is coming into the UBS account ----

- A** A. Yes, exactly.
Q. -- and it is going out of the UBS account?
A. Yes, yes, into UBS.
Q. What do you think was happening when it came out of the UBS account?
- B** A. I don't know. You tell me.
Q. Okay. So that is your case. Because you do not know ----
A. No ----
Q. -- what happened to it, you think it must have been hidden somewhere?
- C** A. No, I did not say that. You did. If you know what happened to it, please tell me. But the respondent is an active investor in all kinds of assets. A lot of the return and revenue that we have is return on investments. Where it went, I don't know. I would like to know. That would be -- that would be -- that is part of the exercise.
- D** Q. Let us go back to para.35 and let us look at the next line in your list. You have put "undisclosed proceeds from drawdowns from Barclays shares". It is not in the Form E. \$5.1 million - yes?
A. That is correct, yes.
- E** Q. And if we look in the bundle at 3506, you can see those Barclays shares?
A. Yes.
Q. Are these the shares that Mr Zahmoul was paid for his employment with Barclays?
A. Yes.
- F** Q. And, like a lot of bankers, he is paid a remuneration scheme whereby he gets salary, cash bonus and then shares, and the shares vest over time, so you are awarded some shares and then in perhaps two years or three years - I do not know if this scheme in particular is three years - a third vest, the next year another third and the next year the final third.
- G** A. Exactly.
Q. Does that sound familiar to you?
A. That -- I wish that would be really -- it would make my life easier. That is the general
- H** idea, except on a -- from a fiscal perspective, the share -- it is a very complicated programme, the best approach to which is to have an HR person -- a compensation HR person explain this to us. But I do not ----
Q. But we can agree generally ----
A. In general, yes ----
Q. -- how these schemes work?

IN PRIVATE

- A** A. -- shares are part of the compensation and they are in special vehicles and they have special tax treatment and they are very complicated.
- Q. Well, let us look as this particular employee, Mr Zahmoul, with Barclays, and we can see on p.3560 ----
- B** A. Yes, you can see the different vehicles.
- Q. We can see the statement period, and this is showing from 1 January 2014 ----
- A. Yes.
- Q. -- to 17 ----
- C** A. Yes.
- Q. -- April 2021 ----
- A. So if you know what CVP means, great. I don't. If you know what all those codes are, great. Because nobody else does.
- D** Q. Okay. Well, is CVP is cash value plan.
- A. Okay, yes.
- Q. And this is showing what the plans were and the cash generated. You can read what it says.
- E** A. Yes.
- Q. Then if we look down what follows on p.3507, it shows every single activity of the cash?
- A. Yes.
- F** Q. And you can follow this through. If you can skim over the pages, Mrs Zahmoul ----
- A. Yes.
- Q. -- and just flick forward in the bundle if you can ----
- A. Yes.
- G** Q. -- you can see all the detail, and this is a comprehensive document prepared by Barclays. It is not a document Mr Zahmoul ----
- A. Yes.
- Q. You accept it is genuine?
- H** A. I accept this is a document by Barclays, that is correct, yes.
- Q. Yes. And so what Mr Zahmoul has done is he has asked Barclays to produce evidence of all his shares and all of the vesting dates, and then asked them to produce details of the share releases. And if we look forward in the bundle to 3504, you will see each and every vesting. These are in reverse order. You can see 30 March '09. If we scroll up, so you are going to be going towards the front of the bundle, the next page you can see is 2012 vesting releases. On p.3502 you can see 13. Page 350 ----

IN PRIVATE

- A** MR MOLYNEUX: She has not got any of these pages in front of her.
MISS CAMPBELL: I am so sorry.
A. Sorry?
Q. Do you have ----
- B** A. Yes, yes, I am following you.
MR JUSTICE MACDONALD: Yes, the pages are there.
MR MOLYNEUX: Sorry, apologies.
THE WITNESS: Yes, I am sorry ----
- C** MR MOLYNEUX: Sometimes she does (inaudible).
MISS CAMPBELL: (To the witness): What I am trying to identify with you is you can see
that these are dates, in reverse order, showing all the dates that these shares are released
and the proceeds being paid out. Do you follow?
- D** A. Absolutely.
Q. Yes?
A. Absolutely.
Q. And then if you keep going and follow through all of these documents, it takes us to 6
- E** September 2018 on p.3498.
MR JUSTICE MACDONALD: Mrs Zahmoul, just have a look at 3498.
A. Yes.
MR MOLYNEUX: I think it was unfair of me to interrupt because she has obviously found
- F** the page but I do wonder whether we are reaching a point where diminishing returns are
applying. Obviously I am totally in your hands, but that is my thought.
MR JUSTICE MACDONALD: That is ----
THE WITNESS: I want to make progress, please. I would really like to help.
- G** MR JUSTICE MACDONALD: All right. Well, I am going to at the moment rely on you.
A. Okay.
Q. All right?
A. Yes
- H** Q. It is right of Mr Molyneux to raise the issue with me, and we will keep going for a little
bit.
A. Okay.
Q. But not too much longer?
A. As long as you need. As long as you need. You need to understand the picture.
Q. I am understanding. All right? So we will continue ----
MISS CAMPBELL: My Lord ----

IN PRIVATE

- A** MR JUSTICE MACDONALD: -- a little while longer and then we will stop.
- MISS CAMPBELL: -- I have got quite a lot to go, so if you feel that Mrs Zahmoul would benefit from a break, I am entirely happy to do that.
- THE WITNESS: No, no, no. No.
- B** MR JUSTICE MACDONALD: Well, I think what I am going to do, because I have to do something else at 4.15 so we are going to have to rise at 4.15 ----
- A. Okay.
- Q. -- all right, but we will continue until then. Okay?
- C** A. Yes.
- MISS CAMPBELL: Mr Zahmoul has produced all of the shares that he has ever received and all of the releases that he was ever able to vest until there was nothing left, and the Barclays shares have all been spent. So where do you get the figure in your schedule of
- D** \$5.1 million from? Where does that come from? It was in your statement at para.35.
- We looked at it before.
- A. Exactly the same schedule on the spreadsheets. So did you add up everything and you are not finding my number cumulatively?
- E** Q. No, I am trying to understand ----
- A. It is the ----
- Q. -- where your number comes from?
- A. That will be the reasoning. I took the 30 pages here and I put them on Excel, and I do
- F** not think I made assumptions on taxes -- the taxes are paid by way of shares taken in the nominee account specifically to pay taxes.
- Q. So you have added up every share realisation ----
- A. Just, that is -- it is not hard. I ----
- G** Q. Yes. I am just trying to understand what you have done.
- A. Yes, yes
- Q. You have added them all together ----
- A. (Inaudible).
- H** Q. -- all the shares that have realised ----
- A. Yes.
- Q. -- since 2009, or whatever date it was?
- A. Yes.
- Q. Total, the last date in 2018 ----
- A. Yes.

IN PRIVATE

- A** Q. -- you say that that comes to \$5.1 million and you are saying that that is still available to Mr Zahmoul to spend?
- A. No, no, I am not saying that. I am saying that was not -- that was -- I do not know the net tax fiscal treatment of this. I don't know if there are any rights that exist. I don't
- B** know that exercise. I don't know what other vehicles. I don't know some of the shares he was granted status for, the dates, outside the UK ----
- Q. You see, Mrs Zahmoul, you ----
- A. So this is not -- I am sorry.
- C** Q. I am sorry, you carry on.
- A. I am not saying I don't know where they were. I am saying this money was not needed to live in the UK. Again, above and beyond the burn - the burn of the years 2004 to 2021 above and -- no, I am sorry, he left in 2020. Above and beyond. Not needed. It is
- D** very simple. What is needed is on -- what was burnt in the UK is p.12. Anything else I don't know what was ----
- Q. You do not accept then, that Mr Zahmoul ----
- A. It is not accepting ----
- E** Q. Let me ask you the question, please, Mrs Zahmoul. You do not accept that Mr Zahmoul was drawing down on these shares, selling them, realising the share and spending the money on the family?
- A. Of course not. No. Because -- because what -- what funded the UK spending account
- F** which I controlled for the family was not -- theoretically there might be share releases or share liquidations, but what hit the account bi-weekly, just like any of us, like you, it is a salary. That is what hits the account ----
- Q. How can you prove that, Mrs Zahmoul?
- G** A. How -- what do you mean how do I prove that?
- Q. Well, you have to prove this. You have to prove -- if it is your case ----
- A, I am sorry ----
- Q. --- that the money has not being spent ----
- H** A. Yes.
- Q. -- on the family living -- because Mr Zahmoul's case is he was getting paid ----
- A. Yes.
- Q. -- he was drawing down on the shares and then when he stopped work ----
- A. Yes.
- Q -- he had to surrender the shares because he was not getting ----

IN PRIVATE

- A** A. Miss Campbell, his own CPA says -- I am going to read, right, his own -- I am going to take you to my statement where his own CPA says between 2004 and 2016 the UK earned income exceeded the cash burn. And the average ----
- Q. What do you think "income" means?
- B** A. Probably -- probably some of this is. I don't know ----
- Q. Probably some of it is, Mrs Zahmoul? Your case -- you are trying to ask his Lordship to accept that this money has not been spent ----
- A. (Inaudible) ----
- C** Q. -- but the truth is -- let me finish.
- A. Yes.
- Q. Let me make my point.
- A. Yes, Miss Campbell.
- D** Q. You said probably the shares have not -- or you said probably some of it is income. I think those were your exact words.
- A. Mm.
- Q. Some of the shares are income probably. You are actually saying ----
- E** A. The shares -- no, no, I -- probably what -- they had -- some of them were called BACS. Some of them were called payroll. Again, one more time, I am not an HR compensation specialist. Absolutely not. And he -- and the respondent's fiscal status is that he had three different ones between 2004 and 2020. Three. Three.
- F** Q. But let us ----
- A. So what I am saying, on the other hand, is even if you stick -- even if we assume that 3.8 were liquidated, and I don't know the fiscal net, and were used onshore, you still have 12 or 13 from UBS that were not used. You still have 1.7 from rental with very
- G** conservative assumptions that were not used. Those 3.8. And again I am operating with very little visibility. There are shares vested. Now, we are saying -- you are saying it is part of a payroll. We really need -- I think the bottom line is that we need someone to explain BACS, payroll and everything, and which one went out and which one did not go out.
- H** Q. Let me be clear so you understand what Mr Zahmoul's case is - that these Barclays shares were part of the monies that you used to support the family. When I say "you", I mean you as a family. He would ----
- A. Yes.
- Q. -- draw down on shares that had been paid as part of his remuneration package, and those shares were used to pay for the family's living?

- A A. Yes, and ----
- Q. Do you accept that?
- A. Well, if the onus is on me to accept or the onus is on the respondent to show ----
- Q. I need to know whether you believe that statement or not. If you say to me ----
- B A. Believe -- I am sorry, there is no belief. Right? Either somebody is going to be trans -- a little bit more forward with information because this is a very complex area, compensation, or not. But I cannot believe. It is not -- it is not a religion. This is evidence-based. Right now, what I know is -- and I am really sorry, but the -- that his
- C tax -- tax -- AG tax says it in so many words between 2004 and 2016 the family -- the salary more than covered UK-based income, more than covered the burn, and the burn was 750. Then when he stopped work, we spent 942, and the clean reserve went from 3-something to -- well, then one year later we spent again 942. The clean capital
- D reserve went down again. So ----
- Q. That is ----
- A. -- whatever the respondent holds, tax, UK-based taxed income earnings, that is what is being said that is -- that is what we used for our cash burn, which is about 900 a year,
- E and that was more than enough all the way through 2020, and that is the capital reserve clean. And then the memo goes on to say if they continued to spend at that rate, and there is no disclosed income, then the risk is he will have to bring capital from offshore, and then he cites the risk. And the way he cites it is revealing because that is when you
- F find out that there is -- there we are, three buckets outside, offshore capital, offshore -- offshore untaxed earned income, and offshore return on investments. Three. So each one has a different tax consequence if it is remitted to the UK. And there is also an account called remittances, and I explained this earlier. So that is it.
- G Q. Okay. Could you have a look in the bundle, please, at p.3269? This is money you say that is undisclosed investments. So your case -- I am just looking at the last line ----
- A. Yes.
- Q. -- of that green box. Undisclosed investments source - I presume this is - Portuguese tax
- H return ----
- A. Yes.
- Q. -- £9.85 million?
- A. Yes.
- Q. So I am clear, are you asking the judge to take this figure of £9.85 million and add it back onto the asset schedule to suggest that Mr Zahmoul has these funds available to him?

IN PRIVATE

A A. No, no, Miss Campbell, just -- let me just find where in here there is one that is allegedly Coinbase. Yes, okay, so I -- okay. No. So, your Lordship, I do not speak Portuguese and I am not a specialist of the tax -- Portuguese tax returns.

MR JUSTICE MACDONALD: No. Of course.

B A. These investments were -- so the respondent produced 2020, '21 and '22. 2020 earlier, and '21 and '22 were produced on November 8, 2023. What -- and, again, this is a reconstruct-- reconstructing. This is a very slow process with no expert on hand. By reconstruction there are three -- these investments were in the section of investments
C that -- they are coded but they are not identified by the name of the entity invested in, so there is no way to know what is underneath. There is just -- in Portuguese, there is a chart that says "date acquired", and then the date of liquidation, and then I think it is either date of acquisition and date of liquidation or it is date of acquisition plus the
D capital gain. But I spoke to (inaudible) Portugal, I think it is value at the date of (inaudible) value. So these 7 -- there were 17 unidentified only country-coded investments which I had no knowledge of. Now ----

MISS CAMPBELL: I am sorry, I just need to understand. I am going to stop you.

E A. Yes.

Q. Because I still do not have an answer to my question. This figure that we see on your table of 9.85 million, are you asking the judge to add that sum, 8.5 million, notionally on to Mr Zahmoul's share of the assets?

F A. No. At this stage, I think the respondent said -- I filed -- sent a letter saying these were investments that were disposed of from the E*TRADE portfolio. So they are US-based, and I just would like to go to the big one, if you do not mind ----

Q. I still do not have an answer to my question.

G A. I am asking his Lordship to add them ----

Q. It is a yes or a no.

A. No.

Q. Yes, you are, or no, you are not? Do you want his Lordship to add £9.85 million onto
H Mr Zahmoul's share of the assets notionally or not?

A. Can I just think?

Q. That is not what this ----

A. Can I just think? So Mr Zahmoul is recording in 2022 all of the asset -- all of these assets which are -- are they on the balance sheet for the schedule that he produced for the -- for the final hearing? If they are, we are good. If they are not, where is the money?

IN PRIVATE

- A** Q. You see, Mrs Zahmoul, when I started this exercise ----
A. Yes.
Q. -- we looked at each of those boxes ----
A. Yes.
- B** Q. -- and we added them up. Do you remember? We looked at box 1 ----
A. Miss ----
Q. -- we looked at box 2 ----
A. Yes.
- C** Q. -- and I said it totals about £141 million?
A. Yes, Miss Campbell ----
Q. And I said to you, is it your case that Mr Zahmoul is hiding these assets? And you said yes, that is your case.
- D** A. Yes.
Q. That is how we started.
A. Yes, and now ----
Q. So when I am looking at this figure of 9.85 ----
- E** A. Okay.
Q. -- my assumption, based on your answers, is that you do want him to include this figure on the balance sheet?
A. So if they are already on the balance sheet, then -- actually can we just go to Coinbase,
- F** because it is 7. million out of 9.5, and because somebody said that this is Coinbase.
Can we just go there because that is like 85 ----
Q. You tell me where you want me to go, Mrs Zahmoul.
A. 85%. So is this -- is it your client's case that ----
- G** Q. No, you tell me what line you are looking at ----
A. Oh, I am sorry.
Q. -- because I cannot follow.
A. The biggest number is 7.3 million.
- H** Q. Yes.
A. Your client -- so make sure your client is claiming this is Coinbase? Is that correct?
Q. So you are asking me ----
A. Yes.
Q. -- if the figure on your schedule ----
A. Yes.
Q. -- is a sum that should be ----

IN PRIVATE

- A** A. Obviously because I ----
Q. -- added on or taken off?
A. Yes, I don't know.
Q. You do not know?
- B** A. Because the Portuguese taxes do not identify that. They only have a number and they send it to you as investment, either partnership or equity, so of course I don't know that so ----
Q. Of course you do not know. And Mr Zahmoul filed a detailed statement explaining that you had completely misunderstood the Portuguese tax returns. Have a look at 3469, please.
- C** MR JUSTICE MACDONALD: Do you understand 3469?
A. (No audible response)
- D** Q. Okay?
A. Yes.
Q. Just get to that page.
MISS CAMPBELL: I am nearly finished, my Lord.
- E** MR JUSTICE MACDONALD: Yes.
THE WITNESS: No, no, no, please do not -- do not worry.
MISS CAMPBELL: (To the witness): So here on para.17 this is Mr Zahmoul's ----
A. Yes.
- F** Q. -- response to what you had been saying about the Portuguese ----
A. Yes.
Q. -- undisclosed assets, or the assets on the tax return.
A. Yes.
- G** Q. And he says:

"Having considered your allegations arising from the contents of my Portuguese tax return, it is apparent that she has fundamentally misunderstood the information recorded within the documents."
- H** You have just said to me in answer to one of my questions: "I do not know".
A. I am sorry ----
Q. I think ----
A. No, I made the complete sentence. I said I don't know which entity this is because the tax return does not identify the entity by name. There is just a code and then it says USA. It says equity or partnership in the USA. So I did not just say I don't know, I said

IN PRIVATE

- A** I don't know what entity this is. The Portuguese tax return does not identify the name of the entity, so I cannot guess it. I am sorry.
- Q. All right. So Mr Zahmoul paid his adviser in Portugal ----
- A. Which one? Which one?
- B** Q. You can see ----
- A. Mr Zahmoul has various ----
- MR JUSTICE MACDONALD: Mrs ----
- A. I am sorry. I am sorry.
- C** Q. Mrs Zahmoul ----
- A. I am sorry.
- Q. -- if you do not listen to the question, I am going to ----
- A. I am sorry. I am sorry.
- D** Q. -- bring matters to a close today because I am concerned ----
- A. I apologise.
- Q. -- that you are ----
- A. I am sorry.
- E** Q. -- getting tired.
- A. There are many advisers in Portugal ----
- Q. Listen to the question that Miss Campbell will ask.
- A. Okay.
- F** MISS CAMPBELL: This is the last point ----
- A. That is okay.
- Q. -- and then we can stop.
- A. I apologise.
- G** Q. If you have a look on p.4241.
- A. Yes.
- Q. This is the historic advice that has been given. So you have seen this generally, because we have looked at this already. You asked me who. This is Luis Leon, so you are
- H** familiar with his advice?
- A. I am -- is it -- is it Deloitte or is it ILYA?
- Q. ILYA.
- A. ILYA, okay.
- Q. We have looked at this before. This man has been assisting in the past.
- A. Yes.

IN PRIVATE

- A** Q. And that is the advice he gave originally, and then when you said that you thought there was nearly £10 million missing ----
- A. Yes.
- B** Q. -- Mr Zahmoul went back to him this year, and we can see that at 3529. Have a look there.
- A. 3 -- I am sorry?
- Q. 35 ----
- A. 4241 is ----
- C** Q. I am just identifying ----
- A. You are just telling me -- do you know why your client has two different tax people in Portugal?
- Q. I was trying to help you identify where the information was coming from.
- D** A. No, no, I understand but ----
- Q. Have a look at 35 ----
- A. -- why would one have various tax people in the state and then not even produce a proper tax -- tax numbers for the final hearing asset schedule?
- E** Q. So on 26 January, the Portuguese adviser filed a detailed explanation as to how the Portuguese tax returns -- so that you could understand ----
- A. Okay.
- Q. -- where your calculations and your assumptions had gone wrong. Have you read this document, Mrs Zahmoul?
- F** A. Let me read it quick -- yes, so, I am sorry, I don't have time for all of this, so can we just go to Coinbase ----
- MR JUSTICE MACDONALD: What I am going to do, Mrs Zahmoul, I think ----
- G** A. I am sorry. No, I ----
- Q. -- and Miss Campbell, I am going to pause matters there. All right? Do not worry. It is not a problem. I just want to be sure that you are given the opportunity to give your best evidence, and you have been in the witness box all day. So what I am going to do
- H** now is I am going to rise and I am going to sit again tomorrow at 10.30, and we will continue your evidence.
- A. I am sorry.
- Q. You do not need to apologise, Mrs Zahmoul. What I do need to make clear to you, however, because we are going across two days - all right? - is that you are not allowed to talk to anybody about your evidence between now and 10.30 tomorrow. All right?

IN PRIVATE

- A** That means you cannot talk to Mr Molyneux about the case, you cannot talk to your solicitor about the case, because you are still under oath. All right?
- A. Okay.
- B** Q. And we will commence at 10.30 tomorrow morning when you will have had an opportunity to read that in a bit more detail. All right? Okay.
- MISS CAMPBELL: My Lord, before you rise, can I hand this document to your Lordship?
- Mr Molyneux had seen it. I have sent it to your clerk.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: It is a hard copy of the tax schedule that we have spoken about ----
- (Same handed)
- MR JUSTICE MACDONALD: Thank you very much.
- MISS CAMPBELL: -- in evidence earlier.
- D** MR JUSTICE MACDONALD: Thank you. Do take a seat, Mrs Zahmoul, for a moment. It may be that Mr Molyneux wants to make a point.
- MR MOLYNEUX: My Lord, may I just add to that, that is not just me and Ms Bloom.
- MR JUSTICE MACDONALD: Yes.
- E** MR MOLYNEUX: Anyone at all. So anyone who has assisted in the preparation of the case, or anything like that ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- must not be spoken to.
- F** MR JUSTICE MACDONALD: Indeed. (To the witness): That means everybody, Mrs Zahmoul. All right? You cannot talk to anybody about the case. All right?
- A. I understand. I am not sure I understand that -- is there any -- anything implied? No.
- Q. Okay?
- G** A. Because there is nobody else here.
- Q. No, there is nobody you can talk to. All right. We will start at 10.30 tomorrow morning.
- A. Thank you very much.
- H** Q. Okay. Thank you. I will rise.

(Adjourned overnight)

Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

A

Digital Transcription by Marten Walsh Cherer Ltd
2nd Floor, Quality House, 6-9 Quality Court, Chancery Lane, London WC2A 1HP
Tel No: 020 7067 2900. DX: 410 LDE
Email: info@martenwalshcherer.com
Web: www.martenwalshcherer.com

B

C

D

E

F

G

H